AMIT KUMAR SURANA & COMPANY
CHARTERED ACCOUNTANTS

PROP:- AMIT KUMAR SURANA
CA, CS, LLB, B.COM(H)

INDEPENDENT AUDITOR'S REPORT

To,

The Members of

BKM INDUSTRIES LIMITED

Report on the Audit of the Consolidated Financial Statements

OPINION

We have audited the accompanying Consolidated Financial Statements of **BKM INDUSTRIES LIMITED** ("the Holding Company") and its subsidiaries (the Holding Company and its subsidiaries together referred to as "the Group"), which comprise the Consolidated Balance Sheet as at 31st March, 2024, the Consolidated Statement of Profit and Loss (including Other Comprehensive Income), the Consolidated Statement of Changes in Equity and the Consolidated Statement of Cash Flows for the year ended on that date, and a summary of the significant accounting policies and other explanatory information (hereinafter referred to as "the Consolidated Financial Statements").

The investment of Rs. 0.17 lakhs in Euroasian Ventures FZE has been valued based solely on management-certified financial information. As the financial statements and other supporting financial information of the subsidiary were not available for our verification, we were unable to obtain sufficient appropriate audit evidence regarding the valuation and recoverability of the said investment. Accordingly, we are unable to comment on the appropriateness of the carrying value of the investment disclosed in the financial statements.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid Consolidated Financial Statements give the information required by the Companies Act, 2013 (the "Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under Section 133 of the Act ("Ind AS") and other accounting principles generally accepted in India, of the consolidated state of affairs of the Group as at 31st March, 2024, and its consolidated **loss**, total comprehensive **loss**, consolidated changes in equity and its consolidated cash flows for the year ended on that date.

BASIS OF OPINION

We conducted our audit of the Consolidated Financial Statements in accordance with the Standards on Auditing ("SAs") specified under Section 143(10) of the Act. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ("ICAI") together with the ethical requirements that are relevant to our audit of the Consolidated Financial Statements under the provisions of the Act and the Rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the Consolidated Financial Statements except the information related to the Investment in subsidiary company.

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Amit Kumar Surana & Company ★ Kolkata FRN-332194E ★ Chartered Accountants

INDEPENDENT AUDITOR'S REPORT

To,
The Members of
BKM INDUSTRIES LIMITED

Report on the Audit of the Consolidated Financial Statements

OPINION

We have audited the accompanying Consolidated Financial Statements of **BKM INDUSTRIES LIMITED** ("the Holding Company") and its subsidiaries (the Holding Company and its subsidiaries together referred to as "the Group"), which comprise the Consolidated Balance Sheet as at 31st March, 2024, the Consolidated Statement of Profit and Loss (including Other Comprehensive Income), the Consolidated Statement of Changes in Equity and the Consolidated Statement of Cash Flows for the year ended on that date, and a summary of the significant accounting policies and other explanatory information (hereinafter referred to as "the Consolidated Financial Statements").

The investment of Rs. 0.17 lakhs in Euroasian Ventures FZE has been valued based solely on management-certified financial information. As the financial statements and other supporting financial information of the subsidiary were not available for our verification, we were unable to obtain sufficient appropriate audit evidence regarding the valuation and recoverability of the said investment. Accordingly, we are unable to comment on the appropriateness of the carrying value of the investment disclosed in the financial statements.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid Consolidated Financial Statements give the information required by the Companies Act, 2013 (the "Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under Section 133 of the Act ("Ind AS") and other accounting principles generally accepted in India, of the consolidated state of affairs of the Group as at 31st March, 2024, and its consolidated **loss**, total comprehensive **loss**, consolidated changes in equity and its consolidated cash flows for the year ended on that date.

BASIS OF OPINION

We conducted our audit of the Consolidated Financial Statements in accordance with the Standards on Auditing ("SAs") specified under Section 143(10) of the Act. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ("ICAI") together with the ethical requirements that are relevant to our audit of the Consolidated Financial Statements under the provisions of the Act and the Rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the Consolidated Financial Statements except the information related to the Investment in subsidiary company.

EMPHASIS OF MATTER

We draw attention to Note 27 and the related notes to the Consolidated Financial Statements, which describe that a Corporate Insolvency Resolution Process ("CIRP") under the Insolvency and Bankruptcy Code, 2016 ("the Code") was initiated against the Holding Company, and that the Resolution Plan submitted by Uniglobal Papers Private Limited was approved by the Hon'ble National Company Law Tribunal, Kolkata Bench ("NCLT") under Section 31 of the Code vide its order dated 19th September, 2023. The accompanying Consolidated Financial Statements have been prepared by the Management giving effect to the said Resolution Plan, including the reduction and consolidation of equity share capital, the restructuring and derecognition of borrowings and other liabilities, the impairment of investments and the classification of certain assets as held for sale, in the manner and to the extent set out in the said Notes.

As more fully described in the said Notes, the net effect of giving effect to the Resolution Plan — being the excess of liabilities, provisions and reserves extinguished, waived or otherwise adjusted over the carrying amount of assets derecognised, written off or impaired, aggregating ₹ 11,312.61/- Lakhs — has been adjusted by the Management directly against Retained Earnings (i.e. through equity) and has not been routed through the Statement of Profit and Loss. The capital reduction of ₹ 642.99/- Lakhs arising on the reduction and consolidation of equity share capital has likewise been adjusted against Retained Earnings, and the balances lying in Capital Reserve, Securities Premium, General Reserve and Revaluation Surplus have been adjusted pursuant to the Resolution Plan, all in the manner set out in the said Notes.

Our opinion is not modified in respect of this matter.

KEY AUDIT MATTERS

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Consolidated Financial Statements of the current period. These matters were addressed in the context of our audit of the Consolidated Financial Statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

Sr. No.	Key Audit Matter	How our audit addressed the key audit matter
1	**Accounting for the effects of the Resolution Plan (CIRP)** Refer Note 27 to the Consolidated Financial Statements regarding the Resolution Plan approved by the Hon'ble NCLT, Kolkata Bench under Section 31 of the Insolvency and Bankruptcy Code, 2016 vide order dated 19th September, 2023. Owing to the multiplicity of contractual arrangements and the large number of financial and operational creditors, the determination and recognition of the effects of the Resolution Plan involved	Our principal audit procedures included: • Obtained and read the Resolution Plan and the order of the Hon'ble NCLT dated 19th September, 2023 to understand the terms of the Plan and their financial reporting implications; • Reviewed the Management's process for implementation of the Resolution Plan and the

Sr. No.	Key Audit Matter	How our audit addressed the key audit matter
	significant management judgment. In particular, the net effect of the Resolution Plan, aggregating ₹ 11,312.61 Lakhs (being liabilities, provisions and reserves extinguished or adjusted, net of assets derecognised or impaired), together with the capital reduction of ₹ 642.99 Lakhs, has been adjusted by the Management directly against Retained Earnings (through equity) rather than being routed through the Statement of Profit and Loss. The appropriateness of this presentation, and the consequential adjustments to share capital and the other components of equity, was a complex matter that was, in our view, of most significance to the users' understanding of the Consolidated Financial Statements as a whole. Accordingly, we have determined this to be a key audit matter.	accounting policies adopted to give effect to its terms; • Verified, on a test-check basis, the carrying amounts of liabilities extinguished, restructured or settled, and the consequential adjustments to share capital and reserves, against the supporting documents and computations; • Evaluated the basis for the Management's presentation of the net effect of the Resolution Plan, aggregating ₹ 11,312.61 Lakhs, as an adjustment to Retained Earnings (through equity) rather than through the Statement of Profit and Loss, and assessed whether such presentation is consistent with the terms of the Resolution Plan and the applicable Ind AS; • Evaluated whether the accounting principles applied fairly present the effects of the Resolution Plan in accordance with the applicable Ind AS; and • Assessed the relevant disclosures made in the Consolidated Financial Statements.
2	**Impairment of investments and classification and measurement of assets held for sale** Refer Note 4 (Investments) and Note 3 (Assets held for sale) to the Consolidated Financial Statements. During the year, the carrying value of investments in subsidiary and other entities was fully impaired from ₹ 4,319.92 Lakhs to ₹ 0.17 Lakhs, and certain items of property, plant and equipment aggregating ₹ 2,448.58 Lakhs were classified as held for sale. These matters involve significant management judgment regarding	Our principal audit procedures included: • Evaluated the Management's assessment of recoverability and realisable value of the investments and the basis for the impairment recognised; • Examined the registered valuer's report relied upon by the Management for the measurement of property, plant and equipment and assets held for sale;

Sr. No.	Key Audit Matter	How our audit addressed the key audit matter
	recoverability, the assessment of fair value less costs to sell and the satisfaction of the held-for-sale criteria under Ind AS 36 and Ind AS 105, and were therefore considered to be a key audit matter.	• Assessed whether the held-for-sale criteria under Ind AS 105 were met and that depreciation had ceased from the date of such classification; and • Assessed the adequacy of the related disclosures in the Consolidated Financial Statements.

OTHER INFORMATION

The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Annual Report, but does not include the Consolidated Financial Statements and our Auditor's Report thereon.

Our opinion on the Consolidated Financial Statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the Consolidated Financial Statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the Consolidated Financial Statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. When we read the Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

MANAGEMENT'S AND BOARD OF DIRECTORS' RESPONSIBILITY FOR THE CONSOLIDATED FINANCIAL STATEMENTS

The Holding Company's Management and Board of Directors are responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these Consolidated Financial Statements that give a true and fair view of the consolidated financial position, consolidated financial performance, consolidated total comprehensive income, consolidated changes in equity and consolidated cash flows of the Group in accordance with the Ind AS and other accounting principles generally accepted in India. The respective Board of Directors of the companies included in the Group are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Group and for preventing and detecting frauds and other irregularities; the selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Consolidated Financial Statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the Consolidated Financial Statements by the Board of Directors of the Holding Company, as aforesaid.

Amit Kumar Surana & Co. Kolkata FRN-322104E Chartered Accountants

In preparing the Consolidated Financial Statements, the respective Board of Directors of the companies included in the Group are responsible for assessing the ability of each company to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the respective Board of Directors either intends to liquidate the company or to cease operations, or has no realistic alternative but to do so.

The respective Board of Directors of the companies included in the Group are also responsible for overseeing the financial reporting process of the Group.

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the Consolidated Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an Auditor's Report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Consolidated Financial Statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Consolidated Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Holding Company and its subsidiary companies which are companies incorporated in India have adequate internal financial controls with reference to Consolidated Financial Statements in place and the operating effectiveness of such controls. However, we are unable to form our opinion of the financial information of the subsidiary company
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures in the Consolidated Financial Statements made by the Management and Board of Directors.

- Conclude on the appropriateness of the Management and Board of Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our Auditor's Report to the related disclosures in the Consolidated Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our Auditor's Report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Consolidated Financial Statements, including the disclosures, and whether the Consolidated Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the Consolidated Financial Statements. We are not responsible for the direction, supervision and performance of the audit of financial information of such entities (subsidiary companies) included in the Consolidated Financial Statements of the Holding Company. For the other entities included in the Consolidated Financial Statements, which have been audited by other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

We communicate with those charged with governance of the Holding Company and such other entities included in the Consolidated Financial Statements of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Materiality is the magnitude of misstatements in the Consolidated Financial Statements that, individually or in the aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the Consolidated Financial Statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the Consolidated Financial Statements.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Consolidated Financial Statements of the current period and are therefore the key audit matters. We describe these matters in our Auditor's Report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government of India in terms of sub-section (11) of Section 143 of the Act, and on the basis of the consideration of the reports of the respective auditors of the companies included in the Consolidated Financial Statements, we give in "Annexure A" a statement on the matter specified in clause (xxi) of paragraph 3 of the Order, to the extent applicable.

2. As required by Section 143(3) of the Act, based on our audit, we report that:

   (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid Consolidated Financial Statements except the financial information related to subsidiary company.

   (b) In our opinion, proper books of account as required by law relating to preparation of the aforesaid Consolidated Financial Statements have been kept so far as it appears from our examination of those books maintained by the holding company.

   (c) The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss (including Other Comprehensive Income), the Consolidated Statement of Changes in Equity and the Consolidated Statement of Cash Flows dealt with by this Report are in agreement with the relevant books of account maintained for the purpose of preparation of the Consolidated Financial Statements.

   (d) In our opinion, the aforesaid Consolidated Financial Statements comply with the Indian Accounting Standards prescribed under Section 133 of the Act.

   (e) On the basis of the written representations received from the directors of the Company as on 31st March, 2024 and taken on record by the Board of Directors of the ~~Holding~~ Company none of the directors of the Group companies incorporated in India is disqualified as on 31st March, 2024 from being appointed as a director in terms of Section 164(2) of the Act.

   (f) With respect to the adequacy of the internal financial controls with reference to Consolidated Financial Statements of the Company incorporated in India and the operating effectiveness of such controls, refer to our separate report in "Annexure B". Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the internal financial controls with reference to Consolidated Financial Statements of those companies except the subsidiary companies.

   (g) With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of Section 197(16) of the Act, as amended, in our opinion and to the best of our information and according to the explanations given to us, the remuneration paid/provided by the Holding Company incorporated in India to their respective directors during the year is in accordance with the provisions of Section 197 of the Act.

   (h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended, in our opinion and to the best of our information and according to the explanations given to us:

i. The Group does not have any pending litigation which would impact its consolidated financial position in its Consolidated Financial Statements, other than as disclosed in the Notes to the Consolidated Financial Statements.

ii. The Group did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.

iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Company incorporated in India.

iv. a) The Management has represented that, to the best of its knowledge and belief, no funds (which are material either individually or in the aggregate) have been advanced, loaned or invested (either from borrowed funds, share premium or any other source or kind of funds) by the Company to or in any person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

(b) The Management has represented that, to the best of its knowledge and belief, no funds (which are material either individually or in the aggregate) have been received by the Company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Parties ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

(c) Based on the audit procedures performed by us and considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations made by the Management under clauses (a) and (b) above contain any material misstatement.

v. No dividend has been declared or paid during the year by the Holding Company and its subsidiary companies incorporated in India. Accordingly, reporting on compliance with Section 123 of the Act is not applicable.

vi. Based on our examination, including test checks, the Company has used accounting software for maintaining its books of account which has the feature of recording audit trail (edit log) facility, and the same has operated throughout the year for all material transactions recorded in the software. Further, during the course of our audit, we did not come across any instance of the audit trail feature being tampered with. The audit trail records have also been preserved in accordance with the applicable statutory requirements.

For M/s Amit Kumar Surana & Company
Chartered Accountants
Firm Registration No.: 332194E

(CA. Amit Kumar Surana)
Proprietor
Membership No.: 304957
UDIN: 25304957BMGBSZ6923

Place: Kolkata
Date: 30th May, 2024

ANNEXURE "A" TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to in Paragraph 1 under "Report on Other Legal and Regulatory Requirements" section of our Report of even date on the Consolidated Financial Statements of BKM INDUSTRIES LIMITED for the year ended 31st March, 2024 — Reporting under clause (xxi) of paragraph 3 of the Companies (Auditor's Report) Order, 2020)

The Companies (Auditor's Report) Order, 2020 ("the Order") is not applicable to the audit of the Consolidated Financial Statements, save for clause (xxi) of paragraph 3 thereof. Accordingly, in terms of the information and explanations sought by us and given by the Holding Company, the books of account and records examined by us in the normal course of audit, and on the basis of the consideration of the Companies (Auditor's Report) Order, 2020 reports of the companies included in the Consolidated Financial Statements, and to the best of our knowledge and belief, we state that:

(xxi) Qualifications or Adverse Remarks in CARO Reports of the Companies Included in the Consolidated Financial Statements

According to the information and explanations given to us, and based on the consideration of the Companies (Auditor's Report) Order, 2020 ("CARO") reports of the companies included in the Consolidated Financial Statements to which reporting under the Order is applicable, there is one qualifications or adverse remarks by the respective auditors in the said CARO reports of the companies included in the Consolidated Financial Statements.

For M/s Amit Kumar Surana & Company
Chartered Accountants
Firm Registration No.: 332194E

(CA. Amit Kumar Surana)
Proprietor

Membership No.: 304957
UDIN: 25304957BMGBSZ6923

Place: Kolkata
Date: 30th May, 2024

ANNEXURE "B" TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to in paragraph 2(f) under "Report on Other Legal and Regulatory Requirements" section of our Report of even date on the Consolidated Financial Statements of BKM INDUSTRIES LIMITED for the year ended 31st March, 2024)

Report on the Internal Financial Controls with reference to Consolidated Financial Statements under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

OPINION

We have audited the internal financial controls with reference to Consolidated Financial Statements of BKM INDUSTRIES LIMITED incorporated in India, as of 31st March, 2024 in conjunction with our audit of the Consolidated Financial Statements of the Group for the year ended on that date.

In our opinion, to the best of our information and according to the explanations given to us, the Company incorporated in India have, in all material respects, an adequate internal financial controls system with reference to Consolidated Financial Statements and such internal financial controls with reference to Consolidated Financial Statements were operating effectively as at 31st March, 2024, based on the internal control over financial reporting criteria established by the respective companies considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (the "Guidance Note").

MANAGEMENT'S AND BOARD OF DIRECTORS' RESPONSIBILITY FOR INTERNAL FINANCIAL CONTROLS

The respective Board of Directors of the Company incorporated in India are responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the respective companies considering the essential components of internal control stated in the Guidance Note. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

AUDITOR'S RESPONSIBILITY

Our responsibility is to express an opinion on the internal financial controls with reference to Consolidated Financial Statements of the Company incorporated in India based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing prescribed under Section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to Consolidated Financial Statements were established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system with reference to Consolidated Financial Statements and their operating effectiveness. Our audit of internal financial controls with reference to Consolidated Financial Statements included obtaining an understanding of internal financial controls with reference to Consolidated Financial Statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the Consolidated Financial Statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the internal financial controls system with reference to Consolidated Financial Statements of the Company incorporated in India.

MEANING OF INTERNAL FINANCIAL CONTROLS WITH REFERENCE TO CONSOLIDATED FINANCIAL STATEMENTS

A Company's internal financial controls with reference to Consolidated Financial Statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A Company's internal financial controls with reference to Consolidated Financial Statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the Company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the Company are being made only in accordance with authorisations of Management and Directors of the Company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the Company's assets that could have a material effect on the financial statements.

INHERENT LIMITATIONS OF INTERNAL FINANCIAL CONTROLS WITH REFERENCE TO CONSOLIDATED FINANCIAL STATEMENTS

Because of the inherent limitations of internal financial controls with reference to Consolidated Financial Statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to Consolidated Financial Statements to future periods are subject to the risk that the internal financial controls with reference to Consolidated Financial Statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

For M/s Amit Kumar Surana & Company
Chartered Accountants
Firm Registration No.: 332194E

(CA. Amit Kumar Surana)
Proprietor
Membership No.: 304957
UDIN: 25304957BMGBSZ6923

Place: Kolkata
Date: 30th May, 2024

Notes

Note 1-2

NOTE 1: CORPORATE INFORMATION

BKM Industries Limited ('the Company' or 'the Parent') is a Public Limited Company engaged primarily in the business of manufacturing and supply of Aluminium and Steel bottle caps, 2-piece & 3-piece cans. The Company has manufacturing plants across India and is listed on the Bombay Stock Exchange Limited (BSE) and National Stock Exchange of India Limited (NSE). The Company's registered office is at 2A, Ganesh Chandra Avenue, 2nd Floor, Room No - 11, Kolkata, West Bengal, India, 700013.

These Consolidated Financial Statements comprise the financial statements of the Company and its subsidiaries (the Company and its subsidiaries together referred to as 'the Group') and the Group's share of profit / loss in its associates and joint ventures, for the year ended 31st March, 2024.

NOTE 2: BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES

A. Basis of Preparation

a. Statement of Compliance

The Consolidated Financial Statements of the Group have been prepared to comply with Indian Accounting Standards, including Ind AS 110 'Consolidated Financial Statements', and the other rules notified under the relevant provisions of the Companies Act, 2013, read with the presentation requirements of Division II of Schedule III to the Companies Act, 2013.

b. Principles of Consolidation

The Consolidated Financial Statements comprise the financial statements of the Company and its subsidiaries, being the entities that it controls. Control is assessed in accordance with the requirements of Ind AS 110 – Consolidated Financial Statements. The Company controls an investee when it is exposed to, or has rights to, variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

The financial statements of the Company and its subsidiaries are combined on a line-by-line basis by adding together like items of assets, liabilities, equity, incomes, expenses and cash flows, after fully eliminating intra-group balances and intra-group transactions. Profits or losses resulting from intra-group transactions that are recognised in assets, such as inventory and property, plant and equipment, are eliminated in full. The Consolidated Financial Statements are prepared using uniform accounting policies for like transactions and other events in similar circumstances. Where the accounting policies followed by a subsidiary, associate or joint venture are different from those adopted by the Group, appropriate adjustments are made to its financial statements, unless the impact is not material.

The financial statements of subsidiaries are consolidated from the date on which control is acquired and up to the date on which such control ceases. Non-Controlling Interests in the net assets of consolidated subsidiaries are identified and presented in the Consolidated Balance Sheet separately within equity, apart from the equity attributable to the owners of the Parent. Profit or loss and each component of other comprehensive income are attributed to the owners of the Parent and to the Non-Controlling Interests, even if this results in the Non-Controlling Interests having a deficit balance.

Investments in associates and joint ventures are accounted for using the equity method of accounting in accordance with Ind AS 28 – Investments in Associates and Joint Ventures, after initially being recognised at cost. Under the equity method, the carrying amount of the investment is adjusted to recognise the Group's share of the post-acquisition profits or losses and movements in other comprehensive income of the investee. Goodwill arising on consolidation, being the excess of the cost of investment over the Group's share of the net identifiable assets of the subsidiary, associate or joint venture at the date of acquisition, is recognised as an asset and is not amortised but tested for impairment. Any excess of the Group's share of net identifiable assets over the cost of investment is recognised as a capital reserve.

In the case of foreign subsidiaries, revenue and expense items are consolidated at the average exchange rate prevailing during the year, while all assets and liabilities are translated at the rates prevailing at the end of the year. Any exchange difference arising on consolidation is recognised in the Foreign Currency Translation Reserve. The financial statements of all entities used for the purpose of consolidation are drawn up to the same reporting date as that of the Parent, i.e. 31st March, 2024; where the reporting date of an entity is different, adjustments are made for the effects of significant transactions or events between that date and the date of the Parent's financial statements.

c. Functional and presentation currency

These Consolidated Financial Statements are presented in Indian Rupees (`), which is the functional currency of the Parent and the presentation currency of the Group. All amounts have been rounded to the nearest lakh, unless otherwise indicated.

d. Basis of Measurement

These financial statements have been prepared on a historical cost convention basis, except for the following:

i. Certain financial assets and liabilities that are measured at fair value.
ii. Assets held for sale- Measured at the lower of (a) carrying amount and (b) fair value less cost to sell.
iii. Net defined benefit plans- Plan assets measured at fair value less present value of defined benefit obligation.

Determining the Fair Value

While measuring the fair value of an asset or a liability, the Group uses observable market data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows.

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

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If the inputs used to measure the fair value of an asset or a liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

e. Critical Accounting Judgements and Key Sources of Estimation Uncertainty

The preparation of the financial statements in conformity with Ind AS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income, expenses and disclosures of contingent assets and liabilities at the date of these financial statements and the reported amounts of revenues and expenses for the years presented.

These judgments and estimates are based on management's best knowledge of the relevant facts and circumstances, having regard to previous experience, but actual results may differ materially from the amounts included in the financial statements. Estimates and underlying assumptions are reviewed on an on-going basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and future periods affected. The information about significant areas of estimation uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements are as given below:-

i. Impairment test of non financial assets

The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or Cash Generating Units (CGU) fair value less costs of disposal and its value in use. It is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent to those from other assets or groups of assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less cost of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other available fair value indicators.

ii. Allowance for bad debts / expected credit loss

The Management makes estimates related to the recoverability of receivables, whose book values are adjusted through an allowance for Expected losses/ Provision for Doubtful debts. Management specifically analyses accounts receivable, customers' creditworthiness, current economic trends and changes in customer's collection terms when assessing the adequate allowance for Expected losses/ Provision for Doubtful debts, which are estimated over the lifetime of the debts.

iii. Recognition and measurement of Provisions and Contingencies

Provisions and liabilities are recognised in the year when it becomes probable that there will be a future outflow of funds resulting from past operations or events and the amount of cash outflow can be reliably estimated. The timing of recognition and quantification of the liability require the application of judgement to existing facts and circumstances, which can be subject to change. Since the cash outflows can take place many years in the future, the carrying amounts of provisions and liabilities are reviewed regularly and adjusted to take account of changing facts and circumstances.

Contingencies

In the normal course of business, contingent liabilities may arise from litigation, taxation and other claims against the Group. Where it is management's assessment that the outcome cannot be reliably quantified or is uncertain, the claims are disclosed as contingent liabilities unless the likelihood of an adverse outcome is remote. Such liabilities are disclosed in the notes but are not provided for in the financial statements. When considering the classification of legal or tax cases as probable, possible or remote, there is judgement involved. Although there can be no assurance regarding the final outcome of the legal proceedings, the Group does not expect them to have a materially adverse impact on the Group's financial position.

iv. Recognition of Deferred Tax Assets

Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with business developments.

v. Impairment of financial assets

The impairment provisions for financial assets are based on assumptions about risk of default and expected cash loss. The Group uses judgement in making these assumptions and selecting the inputs to the impairment calculation, based on the Group's past history, existing market conditions as well as forward looking estimates at the end of each reporting year.

vi. Income Taxes

There are transactions and calculations for which the ultimate tax determination is uncertain and would get finalised on completion of assessment by tax authorities. Where the final tax outcome is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax in the year in which such determination is made.

vii. Depreciation / Amortisation and useful lives of Property Plant and Equipment (PPE) / Intangible Assets

PPE / intangible assets are depreciated / amortised over their estimated useful lives, after taking into account estimated residual value. Management reviews the estimated useful lives and residual values of the assets annually in order to determine the amount of depreciation to be recorded during any reporting period. The useful lives and residual values are based on the Group's historical experience with similar assets and take into account anticipated technological changes. The depreciation /amortisation for future periods are revised if there are significant changes from previous estimates.

viii. Exceptional items

Exceptional items are those items that management considers, by virtue of their size or incidence, should be disclosed separately to ensure that the financial information allows an understanding of the underlying performance of the business in the year, so as to facilitate comparison with prior periods. Such items are material by nature or amount to the year's result and / or require separate disclosure in accordance with Ind AS.

ix. Consolidation – assessment of control and significant influence

Judgement is required in assessing whether the Group controls an investee (and is therefore required to consolidate it) and whether it has significant influence or joint control (and should therefore apply the equity method). This assessment is based on the substance of the arrangement and the rights held by the Group, including potential voting rights that are substantive, and is reassessed when facts and circumstances indicate a change in any of the elements of control, joint control or significant influence.

f.Current and non-current classification

The Group presents assets and liabilities in statement of financial position based on current/ non-current classification. The Group has presented non-current assets and current assets before equity, non-current liabilities and current liabilities in accordance with Schedule III, Division II of Companies Act, 2013 notified by MCA.

An asset is classified as current when it is:

i. Expected to be realised or intended to be sold or consumed in normal operating cycle,
ii. Held primarily for the purpose of trading,
iii. Expected to be realised within twelve months after the reporting year, or
iv. Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting year.

All other assets are classified as non-current.

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A liability is classified as current when it is:

i. Expected to be settled in normal operating cycle,
ii. Held primarily for the purpose of trading,
iii. Due to be settled within twelve months after the reporting year, or
iv. There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting year.

The Group classifies all other liabilities as non-current.

The operating cycle is the time between the acquisition of assets for processing and their realisation in cash or cash equivalents. Deferred tax assets and liabilities are classified as non-current assets and liabilities. The Group has identified twelve months as its normal operating cycle.

B. Significant Accounting Policies

a. Property, Plant and Equipment:

i. Recognition and measurement

Property, Plant and equipment are measured at cost (which includes capitalised borrowing costs) less accumulated depreciation and accumulated impairment losses, if any.

The cost of an item of property, plant and equipment comprises:

i. its purchase price, including import duties and non-refundable purchase taxes, after deducting trade discounts and rebates.
ii. any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by the management.
iii. the initial estimate of the costs of dismantling and removing the item and restoring the site on which it is located.

If significant parts of an item of property, plant and equipment have different useful lives, then they are accounted for as separate items (major components) of property, plant and equipment and depreciated accordingly.

Any gain or loss on disposal of an item of property, plant and equipment is recognised in Statement of profit or loss.

Capital work-in-progress includes cost of property, plant and equipment under installation / under development as at the balance sheet date.

Leasehold lands are amortised over the period of lease. Buildings constructed on leasehold land are depreciated based on the useful life specified in schedule II to the Companies Act, 2013, where the lease period of land is beyond the life of the building. In other cases, buildings constructed on leasehold lands are amortised over the primary lease period of the lands.

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On transition to Ind AS as on April 1, 2015 the Group has elected to measure certain items of Property, Plant and Equipment [Freehold Land, Building and Plant and Equipment's] at Fair Value and for other Property, Plant and Equipment these are measure at cost as per Ind AS. The same are considered as deemed cost on the date of transition to Ind AS.

ii. Subsequent expenditure

Subsequent expenditure is capitalised only if it is probable that the future economic benefits associated with the expenditure will flow to the Group.

iii. Depreciation, estimated useful life and estimated residual value

Depreciation is calculated using the straight-line Method, pro rata to the period of use, taking into account useful lives and residual value of the assets. The useful life of assets & the estimated residual value, which are different from those prescribed under Schedule II to the Companies Act, 2013, are based on technical advice as under:

Depreciation is computed with reference to cost.

The assets residual value and useful life are reviewed and adjusted, if appropriate, at the end of each reporting year. Gains and losses on disposal are determined by comparing proceeds with carrying amounts. These are included in the statement of Profit and Loss.

b. Intangible Assets

Identifiable intangible assets are recognised when it is probable that future economic benefits attributed to the asset will flow to the Group and the cost of the asset can be reliably measured. Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the statement of profit and loss when the asset is derecognised.

i.Recognition and measurement

Computer software's have finite useful lives and are measured at cost less accumulated amortisation and any accumulated impairment losses.

Acquired brands / Trademarks have indefinite useful life and as on transition date April 1, 2015 have been Fair valued based on reports of expert valuer, which is considered as deemed cost on transition to Ind AS. The same are tested for impairment, if any , at the end of each accounting year.

ii.Subsequent expenditure

Subsequent expenditure is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure, including expenditure on internally generated goodwill and brands, when incurred is recognised in statement of profit or loss.



iii. Amortisation

Amortisation is calculated to write off the cost of intangible assets less their estimated residual values using the straight-line method over their estimated useful lives and is generally recognised in statement of profit or loss. Computer software are amortised over their estimated useful life or 5 years, whichever is lower. Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted, if required.

c. Impairment of assets

An asset is considered as impaired when at the date of Balance Sheet, there are indications of impairment and the carrying amount of the asset, or where applicable, the cash generating unit to which the asset belongs, exceeds its recoverable amount (i.e. the higher of the net asset selling price and value in use).The carrying amount is reduced to the recoverable amount and the reduction is recognised as an impairment loss in the statement of profit and loss. The impairment loss recognised in the prior accounting period is reversed if there has been a change in the estimate of recoverable amount. Post impairment, depreciation is provided on the revised carrying value of the impaired asset over its remaining useful life.

d. Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity. Financial instruments also include derivative contracts such as foreign currency foreign exchange forward contracts, interest rate swaps and currency options.

i. Financial assets

Initial recognition and measurement

All financial assets are initially recognised at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets, which are not at fair value through profit or loss, are adjusted to the fair value on initial recognition. Financial assets are classified, at initial recognition, as financial assets measured at fair value or as financial assets measured at amortised cost.

Subsequent Measurement

Financial Assets measured at Amortised Cost (AC)

A Financial Asset is measured at Amortised Cost if it is held within a business model whose objective is to hold the asset in order to collect contractual cash flows and the contractual terms of the Financial Asset give rise on specified dates to cash flows that represent solely payments of principal and interest on the principal amount outstanding.

Financial Assets measured at Fair Value Through Other Comprehensive Income (FVTOCI)

A Financial Asset is measured at FVTOCI if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling Financial Assets and the contractual terms of the Financial Asset give rise on specified dates to cash flows that represents solely payments of principal and interest on the principal amount outstanding.

Financial Assets measured at Fair Value Through Profit or Loss (FVTPL)

A Financial Asset which is not classified in any of the above categories are measured at FVTPL. Financial assets are reclassified subsequent to their recognition, if the Group changes its business model for managing those financial assets. Changes in business model are made and applied prospectively from the reclassification date which is the first day of immediately next reporting period following the changes in business model in accordance with principles laid down under Ind AS 109 – Financial Instruments.

In case of investments

In Equity instruments

- For subsidiaries - the financial statements are consolidated on a line-by-line basis in accordance with Ind AS 110. For associates and joint ventures - investments are accounted for using the equity method in accordance with Ind AS 28 and are tested for impairment periodically; impairment (if any) is recognised in the Statement of Profit and Loss.

- For Other than subsidiaries, associates and Joint venture - Investments are measured at Fair value through Other Comprehensive Income [FVTOCI].

In Mutual fund

Measured at Fair value through Profit and Loss (FVTPL).

Guarantee Commission

Guarantees extended to associates, joint ventures and other entities are fair valued. Guarantees extended within the Group are eliminated on consolidation.

Debt instruments

The Group measures the debt instruments at Amortised Cost. Assets that are held for collection of contractual cash flows where those cash flows represent solely payment of principal and interest [SPPI] are measured at amortised cost. A gain or loss on a debt investment that is subsequently measured at amortised cost and is not part of the hedging relationship is recognised in profit or loss when the asset is derecognised or impaired. Interest income from these financial assets is included in finance income using the Effective interest rate method.

Derecognition of financial assets

The Group derecognises a financial asset when the contractual rights to cash flows from the asset expire, or it transfers the rights to receive the contractual cash flows on the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred.



Impairment of financial assets

In accordance with Ind-AS 109, the Group applies Expected Credit Loss (ECL) model for measurement and recognition of impairment loss on the following financial asset and credit risk exposure:

i. Financial assets that are debt instruments and are measured at amortised cost e.g., loans, debt securities, deposits, and bank balance.
ii. Trade receivables The Group follows 'simplified approach' for recognition of impairment loss allowance on:

- Trade receivables which do not contain a significant financing component. The application of simplified approach does not require the Group to track changes in credit risk. Rather, it recognises impairment loss allowance based on lifetime ECLs at each reporting date, right from its initial recognition.

- For recognition of impairment loss on other financial assets and risk exposure, the Group determines that whether there has been a significant increase in the credit risk since initial recognition. Expected Credit Loss Model is used to provide for impairment loss.

ii. Financial liabilities Classification

The Group classifies its financial liabilities in the following measurement categories:

- those to be measured subsequently at fair value through profit and loss-[FVTPL]; and
- those measured at amortised cost. [AC]

The classification depends on the Group's business model for managing the financial assets and the contractual terms of the cash flows.

Initial recognition and measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through profit or loss or at amortised cost.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

The Group's financial liabilities include trade and other payables, loans and borrowings including bank overdrafts, financial guarantee contracts and derivative financial instruments.

Subsequent measurement

Financial liabilities are subsequently carried at amortised cost using the effective interest method. For trade and other payables maturing within one year from the balance sheet date, the carrying amounts are approximate at their fair value due to the short maturity of these instruments.



Financial liabilities at fair value through profit or loss [FVTPL]

Financial liabilities at fair value through profit or loss [FVTPL] include financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are incurred for the purpose of repurchasing in the near term. This category also includes derivative financial instruments entered into by the Group that are not designated as hedging instruments in hedge relationships as defined by Ind-AS 109. Separated embedded derivatives are also classified as held for trading unless they are designated as effective hedging instruments.

Gains or losses on liabilities held for trading are recognised in the profit or loss.

Financial liabilities designated upon initial recognition at fair value through profit or loss are designated at the initial date of recognition, only if the criteria in Ind-AS 109 are satisfied. For liabilities designated as FVTPL, fair value gains/ losses attributable to changes in own credit risk are recognised in OCI. These gains/losses are not subsequently transferred to statement of profit or loss. However, the Group may transfer the cumulative gain or loss within equity. All other changes in fair value of such liability are recognised in the statement of profit or loss.

Loans and borrowings

Borrowings are initially recognised at fair value, net of transaction costs incurred. Any difference between the proceeds (net of transaction costs) and the redemption amount is recognised in profit or loss over the period of borrowings using the effective interest method. Processing/Upfront fee are treated as prepaid asset netted of from borrowings. The same is amortised over the period of the facility to which it relates.

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the statement of profit and loss.

This category generally applies to interest-bearing loans and borrowings.

Borrowings are derecognised from the balance sheet when the obligation specified in the contract is discharged, cancelled or expired. The difference between the carrying amount of the financial liability that has been extinguished or transferred to another party and the consideration paid including any non-cash assets transferred or liability assumed, is recognised in Statement of profit or loss as other gains or (losses).

Borrowings are classified as current liabilities unless the Group has an unconditional right to defer the settlement of liabilities for at least twelve months after the reporting year.

Where there is a breach of a material provision of a long term loan arrangement on or before the end of the reporting period with the effect that the liability becomes payable on demand on the reporting date, the same is classified as current unless the lender agreed, after the reporting year and before the approval of financial statements for issue, not to demand payment as a consequence of the breach.

Trade and other payable

These amounts represent liabilities for goods and services provided to the Group prior to the end of financial year which are unpaid at the year end. Trade and other payables are presented as current liabilities unless payment is not due within 12 months after the reporting year. They are recognised initially at their fair value and subsequently measured at amortised cost using the effective interest method.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the statement of profit or loss.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the balance sheet if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously. The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and in the event of default, insolvency or bankruptcy of the Group or the counterparty.

Derivative financial instruments

The Group uses derivative financial instruments, such as forward currency contracts, interest rate swaps and forward commodity contracts to hedge its foreign currency risks, interest rate risks and commodity price risks respectively. Such derivative financial instruments are initially recognised at fair value on the date on which a derivative contract is entered into and are subsequently re-measured at fair value. Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative.

Financial guarantee contracts

Financial guarantee contracts issued by the Group are those contracts that require a payment to be made to reimburse the holder for a loss it incurs because the specified debtor fails to make a payment when due in accordance with the terms of a debt instrument. Financial guarantee contracts are recognised initially as a liability at fair value, adjusted for transaction costs that are directly attributable to the issuance of the guarantee. Subsequently, the liability is measured at the higher of the amount of loss allowance determined and the amount recognised less cumulative amortisation.

e. Inventories

Inventories are measured at the lower of cost and net realisable value after providing for obsolence, if any, except for Stock-in-Trade [which are measured at Fair value] and Realisable by-products [which are measured at net realisable value]. The cost of inventories is determined using the weighted average method and includes expenditure incurred in acquiring inventories, production or conversion and other costs incurred in bringing them to their respective present location and condition. In the case of

manufactured inventories and work in progress, cost includes an appropriate share of production overheads based on normal operating capacity. The comparison of cost and Net Realisable value is made on an item by item basis.

Net realisable value is estimated selling price in the ordinary course of business, less estimated cost of completion and the estimated costs necessary to make the sale. The net realisable value of work in progress is determined with reference to selling prices of finished products.

f. Cash And Cash Equivalent

For the purpose of presentation in the statement of the cash flows, cash and cash equivalent includes the cash on hand, deposits held at call with financial institutions other short term, highly liquid investments with original maturity of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

Cash flows are reported using the indirect method, whereby profit before tax is adjusted for the effects of transactions of non-cash nature and any deferrals or accruals of past or future cash receipts or payments. The cash flows from operating, investing and financing activities of the Group are segregated based on the available information.

g. Contributed Equity

Equity shares are classified as equity. Incidental costs directly attributable to the issue of new shares or options are shown in equity as a deduction, net of tax, from the proceeds.

h. Dividends

Annual dividend distribution to the shareholders is recognised as a liability in the period in which the dividends are approved by the shareholders. Any interim dividend paid is recognised on approval by Board of Directors. Dividend payable and corresponding tax on dividend distribution is recognised directly in other equity.

i. Earnings per share

i. Basic earnings per share

Basic earnings per shares is calculated by dividing Profit/(Loss) attributable to equity holders (adjusted for amounts directly charged to Reserves) before/ after Exceptional Items (net of tax) by Weighted average number of Equity shares, (excluding treasury shares).

ii. Diluted earnings per share

Diluted earnings per shares is calculated by dividing Profit/(Loss) attributable to equity holders (adjusted for amounts directly charged to Reserves) before/ after Exceptional Items (net of tax) by Weighted average number of Equity shares (excluding treasury shares) considered for basic earning per shares including dilutive potential Equity shares.

j. Foreign Currency

i. Foreign currency transactions

Transactions in foreign currencies are translated into the functional currencies of the Group at the exchange rate prevailing at the date of the transactions. Monetary assets (other then investments in companies registered outside India) and liabilities denominated in foreign currencies are translated into the functional currency at the exchange rate at the reporting date.

Investments in companies registered outside India are converted at rate prevailing at the date of acquisition. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured based on historical cost in a foreign currency are not translated.

Difference on account of changes in foreign currency are generally charged to the statement of profit & loss except the following:

The Group has availed the exemption available under Para D13AA of Ind AS - 101 of "First time adoption of Indian Accounting Standards". Accordingly, exchange gains and losses on foreign currency borrowings taken prior to April 1, 2016 which are related to the acquisition or construction of qualifying assets are adjusted in the carrying cost of such asset.

k. Revenue recognition

The Group derives revenues primarily from sale of manufactured goods, traded goods and related services.

In Compliance with Ind AS 20 on Government Grants and consequent to issuance of Education Material by The Institute of Chartered Accounts of India on Ind AS 115, the amount of export incentives have been reclassified from "Other Operating Revenue" to "Other Income".

i. Sale of Goods/ Services

Revenue from contracts with customers is recognised when control of the goods or services are transferred to the customer at an amount that reflects the consideration entitled in exchange for those goods or services. Generally, control is transfer upon shipment of goods to the customer or when the goods is made available to the customer, provided transfer of title to the customer occurs and the Group has not retained any significant risks of ownership or future obligations with respect to the goods shipped.

Revenue from rendering of services is recognised over the time by measuring the progress towards complete satisfaction of performance obligations at the reporting period.

Revenue is measured at the amount of consideration which the Group expects to be entitled to in exchange for transferring distinct goods or services to a customer as specified in the contract, excluding amounts collected on behalf of third parties (for example taxes and duties collected on behalf of the government). Consideration is generally due upon satisfaction of performance obligations and receivable is recognised when it becomes unconditional.

The Group does not have any contracts where the period between the transfer of the promised goods or services to the customer and payment by the customer exceeds one year. As a consequence, it does not adjust any of the transaction prices for the time value of money.

Revenue is measured based on the transaction price, which is the consideration, adjusted for discounts and claims, if any, as specified in the contract with the customer. Revenue also excludes taxes collected from customers.

Contract balances

Trade receivables

A receivable represents the Group's right to an amount of consideration that is unconditional.

Contract liabilities

A contract liability is the obligation to transfer goods or services to a customer for which the Group has received consideration (or an amount of consideration is due) from the customer. If a customer pays consideration before the Group transfers goods or services to the customer, a contract liability is recognised when the payment is made. Contract liabilities are recognised as revenue when the Group performs under the contract.

ii. Other Income

Other income is comprised primarily of interest income, dividend income, gain/loss on investments and gain/loss on foreign exchange and on translation of other assets and liabilities. Interest income is recognised using the effective interest method. Claims for export incentives/ duty drawbacks, duty refunds and insurance are accounted when the right to receive payment is established.

l. Government Grants

i. Grants from the Government are recognised at their fair value where there is a reasonable assurance that the grant will be received and the Group will comply with all the attached conditions.

ii. Government grant relating to purchase of Property, Plant and Equipment are included in "Other current/ non-current liabilities" as Government Grant - Deferred Income and are credited to Profit or loss on a straight line basis over the expected life of the related asset and presented within "Other operating Income".

m. Employee Benefits

i. During Employment benefits

i. Short term employee benefits

Short-term employee benefits are expensed as the related service is provided. A liability is recognised for the amount expected to be paid if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.



ii. **Post Employment benefits**

i. **Defined contribution plans**

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contribution into a separate entity and will have no legal or constructive obligation to pay further amounts. The Group makes specified monthly contributions towards government administered Provident Fund scheme.

Obligations for contributions to defined contribution plans are expensed as the related service is provided. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in future payments is available.

ii. **Defined benefit plans**

The Group pays gratuity to the employees who have has completed five years of service with the company at the time when employee leaves the Group. The gratuity is paid as per the provisions of Payment of Gratuity Act, 1972.

The gratuity liability amount is contributed to the approved gratuity fund formed exclusively for gratuity payment to the employees.

The liability in respect of gratuity and other post-employment benefits is calculated using the Projected Unit Credit Method and spread over the periods during which the benefit is expected to be derived from employees' services.

Re-measurement of defined benefit plans in respect of post employment are charged to Other Comprehensive Income.

iii. **Termination benefits**

Termination benefits are payable when employment is terminated by the Group before the normal retirement date or when an employee accepts voluntary redundancy in exchange for these benefits. In case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than twelve months after the end of reporting year are discounted to the present value.

n. **Income Taxes**

Income tax expense comprises current and deferred tax. Tax is recognised in statement of profit and loss, except to the extent that it relates to items recognised in the other comprehensive income or in equity. In which case, the tax is also recognised in the other comprehensive income or in equity.

i. **Current tax**

Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities, based on tax rates and laws that are enacted or subsequently enacted at the Balance sheet date.

Current tax assets and liabilities are offset only if, the Group:

i. has a legally enforceable right to set off the recognised amounts; and



ii. intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Current tax provision is computed for income calculated after considering allowances and exemptions under the provisions of the applicable Income Tax Laws. Current tax assets and current tax liabilities are off set, and presented as net.

ii. Deferred tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the year in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have enacted or substantively enacted by the end of the reporting year. The carrying amount of Deferred tax liabilities and assets are reviewed at the end of each reporting year. Deferred tax is recognised to the extent that it is probable that future taxable profit will be available against which they can be used.

The measurement of deferred tax reflects the tax consequences that would follow from the manner in which the Group expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax assets and liabilities are offset only if:

i. the Group has a legally enforceable right to set off current tax assets against current tax liabilities; and
ii. the deferred tax assets and the deferred tax liabilities relate to income taxes levied by the same taxation authority on the same taxable entity.

o. Borrowing Costs

General and specific Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset that necessarily takes a substantial period of time to get ready for its intended use are capitalised as part of the cost of that asset till the date it is ready for its intended use or sale. Other borrowing costs are recognised as an expense in the year in which they are incurred.

Investment income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing cost eligible for capitalisation. All other borrowing costs are charged to the statement of profit and loss for the year for which they are incurred.

p. Leases

The Group, as a lessee, recognises a right-of-use asset and a lease liability for its leasing arrangements, if the contract conveys the right to control the use of an identified asset.

The contract conveys the right to control the use of an identified asset, if it involves the use of an identified asset and the Group has substantially all of the economic benefits from use of the asset and has right to direct the use of the identified asset. The cost of the right-of-use asset shall comprise of the amount of the initial measurement of the lease liability adjusted for any lease payments made at or

before the commencement date plus any initial direct costs incurred. The right-of-use assets is subsequently measured at cost less any accumulated depreciation, accumulated impairment losses, if any and adjusted for any remeasurement of the lease liability. The right-of-use assets is depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of right-of-use asset. The Group measures the lease liability at the present value of the lease payments that are not paid at the commencement date of the lease. The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the Group uses incremental borrowing rate. For short-term and low value leases, the Group recognises the lease payments as an operating expense on a straight-line basis over the lease term.

q. Non- Current assets held for sale:

Non-current assets are classified as held for sale if their carrying amount will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when a sale is highly probable from the date of classification, management are committed to the sale and the asset is available for immediate sale in its present condition. Non-current assets are classified as held for sale from the date these conditions are met and are measured at the lower of carrying amount and fair value less cost to sell. Any resulting impairment loss is recognised in the Statements of Profit and Loss as a separate line item. On classification as held for sale, the assets are no longer depreciated. Assets and liabilities classified as held for sale are presented separately as current items in the Balance Sheet.

r. Provisions and contingent liabilities

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event. It is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are discounted using equivalent period government securities interest rate. Unwinding of the discount is recognised in the statement of profit and loss as a finance cost. Provisions are reviewed at each balance sheet date and are adjusted to reflect the current best estimate.

Contingent liabilities are disclosed when there is a possible obligation arising from past events, the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Group or a present obligation that arises from past events where it is either not probable that an outflow of resources will be required to settle or a reliable estimate of the amount cannot be made. Information on contingent liability is disclosed in the Notes to the Financial Statements.

Contingent assets are not recognised. However, when the realisation of income is virtually certain, then the related asset is no longer a contingent asset, but it is recognised as an asset.



s. Segment reporting

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, whose operating results are regularly reviewed by the Group's chief operating decision maker to make decisions for which discrete financial information is available. Based on the management approach as defined in Ind AS 108, the chief operating decision maker evaluates the Group's performance and allocates resources based on an analysis of various performance indicators by business segments and geographic segments.

t. Biological Assets

Biological Assets are measured at fair value less costs to sell, with any changes therein recognised in the Statement of Profit & Loss.

u. Fair value measurement:

The Group measures financial instruments at fair value at each balance sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

i. In the principal market for the asset or liability, or
ii. In the absence of a principal market, in the most advantageous market for the asset or liability.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy.

Note:-

NOTE 27 :

Pursuant to the Resolution Plan submitted by the Uniglobal Papers Pvt Ltd (Collectively referred to as the "Successful Resolution Applicant") and its approval by the Hon'able National Company Law Tribunal, Kolkata bench, vide their orders dated 19th September, 2023 for the corporate insolvency of the Company, otherwise as stated in below notes, the following consequential impacts have been given in accordance with approved resolution plan / Accounting Standards :-

1. The existing directors of the Company as on the date of order have stand replaced by the new Board of Directors from their office with effect from December 15, 2023. As on date Board consist of Mr. Yasvardhan Mukim (Chairman and Managing Director), Mr. Jitendra Agarwal (Non-Executive Director), Mr. Rahul Tikmani (Non-Executive Director).

2. The erstwhile promoter group has been classified as public shareholders under regulation 31A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

3. With effect from September 19, 2023, the existing issued, subscribed and paid up equity share capital of the Company has been reduced from ` 655.34 Lakh divided into 6,55,34,050 equity shares of Re. 1 each to ` 12.35 Lakh divided into 3,08,81,515 equity share and remaining 3,46,52,535 equity share stand fully cancelled and extinguished. As prescribed in the Resolution Plan, the reduction in the share capital of the Company amounting to 642.99 Lakh is adjusted against the debit balance as appearing in its profit and loss account (i.e. retained earnings).

4. As per the resolution plan approved by Hon'ble National Company Law Tribunal, Kolkata Bench vide its orders dated 19th September, 2023 under section 31 of the Insolvency and Bankruptcy Code, 2016, the paid up equity share capital of the company was reduced and consolidated. Shareholder holding 3,08,81,515 equity shares of ` 1/- each got 12,35,261 equity share of ` 1/-. The fractional shares were allotted in favour of BKM INDUSTRIES SHAREHOLDERS TRUST, acting as Trustee for BKM Industries Limited and the same were held in the name of Mr Jitendra Agrawal, Trustee of Trust at that time. Shares will be shifted in the new demat account of the Trust opened with the PAN of Trust. As per the Scheme of reduction and consolidation, shares will be allotted in favour of Trust. The investment Cost of acquition of these treasury shares have been netted of from the Equity Shares Capital and Securities premium account as per the provisions of Ind AS.

5. As per approved resolution plan, the contingent liabilities and commitments, claims and obligations, stand extinguished and accordingly no outflow of economic benefits is expected in respect thereof. The Resolution plan, among other matters provide that upon the approval of this Resolution Plan by the National Company Law Tribunal (NCLT) and settlement and receipt of the payment towards the IRP Costs and by the creditors in terms of this plan, all the liabilities demands, damages, penalties, loss, claims of any nature whatsoever (whether admitted/verified/submitted/rejected or not, due or contingent, asserted or unasserted, crystallised or uncrystallised, known or unknown, disputed or undisputed, present or future) including any liabilities, losses, penalties or damages arising out of non-compliances, to which the Company is or may be subject to and which pertains to the period on or before the Effective Date (i.e. September 19, 2023) and are remaining as on that date shall stand extinguished, abated and settled in perpetuity without any further act or deed. The Resolution plan further provides that implementation of resolution plan will not affect the rights of the Company to recover any amount due to the Company and there shall be no set off of any such amount recoverable by the Company against any liability discharged or extinguished.

6. The Company underwent a Corporate Insolvency Resolution Process ("CIRP") pursuant to the order of the Hon'ble National Company Law Tribunal ("NCLT") dated 30th December 2020 and was successfully resolved upon approval of the Resolution Plan by the Hon'ble NCLT on 19th September 2023. In accordance with Section 14 of the Insolvency and Bankruptcy Code, 2016 ("IBC"), a moratorium was in force from the Insolvency Commencement Date, prohibiting the institution or continuation of suits, proceedings and execution of judgments, decrees or orders against the Company before any court, tribunal, arbitration panel or other authority. Consequent to the implementation of the Approved Resolution Plan, the Company has derecognised, written off or impaired certain assets that are not recoverable or are no longer expected to generate future economic benefits and has also derecognised, adjusted or extinguished liabilities, provisions and reserves to the extent such balances have been settled, waived, discharged or otherwise dealt with under the Approved Resolution Plan. The resulting impact has been recognised in accordance with the applicable Indian Accounting Standards, including Ind AS 109 "Financial Instruments", Ind AS 36 "Impairment of Assets", Ind AS 37 "Provisions, Contingent Liabilities and Contingent Assets" and other applicable Ind AS.

Particulars	Balance Sheet (Pre CIRP)	Adjustment Due to CIRP	Balance Sheet (Post CIRP)	Particulars	Balance Sheet (Pre CIRP)	Adjustment Due to CIRP	Balance Sheet (Post CIRP)
I. ASSETS				**II. EQUITY AND LIABILITIES**			
1. Non-current assets				**1. Equity**			
(a) Property, Plant and Equipment	3,324.01	(313.05)	3,637.06	(a) Equity Share Capital	655.34	642.99	12.35
(b) Capital Work-in-Progress	344.45	344.45	-	(b) Other Equity			-
(c) Intangible assets	-	-	-	(i) Capital Reserve	5.00	5.00	-
(d) Intangible assets under development	-	-	-	(ii) Securities Premium	4,171.20	4,171.20	-
(e) Financial Assets	-	-	-	(iii) General Reserves	6,169.59	6,169.59	-
(i) Investments	4,319.92	4,319.75	0.17	• (iv) Revaluation Surplus	1,460.00	1,460.00	-
(ii) Trade receivables	-	-	-	(v) Retained Earnings	-11,312.61	-11,312.61	-
(iii) Loans	439.57	439.57	-	**2. Liabilities**			
(iv) Other financial assets	12.32	12.32	-	(i) Non-current liabilities	-	-	-
(f) Deferred tax assets (net)	-	-	-	(a) Financial Liabilities	-	-	-
(g) Other non-current assets	1,197.22	847.22	350.00	(i) Borrowings	770.55	770.55	-
				(ii) Trade payables	-	-	-
2. Current assets				(A) Total outstanding dues of micro enterprises and small enterprises	-	-	-
				(B) Total outstanding dues of creditors other than micro enterprises and small enterprises	-	-	-
(a) Inventories	2,193.01	2,160.18	32.82	(iii) Other financial liabilities	35.33	35.33	-
(b) Financial Assets	-	-	-				
(i) Investments	-	-	-	(b) Provisions	291.61	291.61	-
(ii) Trade receivables	4,955.81	4,955.81	-	(c) Deferred tax liabilities (net)	528.00	528.00	-
(iii) Cash & cash equivalents	11.68	3.78	7.90	(d) Other non-current liabilities	152.87	152.87	-
(iv) Bank balances other than (iii) above	0.63	0.63	-	**(ii) Current liabilities**	-	-	-
(v) Loans	-	-	-	(a) Financial Liabilities	-	-	-
(vi) Other financial assets	-	-	-	(i) Borrowings	12,411.32	12,411.32	-
(c) Current Tax Assets (net)	24.58	(27.38)	51.96	(ii) Trade payables	-	-	-
(d) Other current assets	977.19	977.19	-	(A) Total outstanding dues of micro enterprises and small enterprises	-	-	-
	-	-	-	(B) Total outstanding dues of creditors other than micro enterprises and small enterprises	136.45	136.45	-
3. Non-current assets held for disposal	66.98	66.98	-	(iii) Other financial liabilities	996.26	(2,808.43)	3,804.69
				(b) Other current liabilities	1,334.84	1,071.97	262.88
				(c) Provisions	61.61	61.61	
TOTAL ASSETS	**17,867.36**	**13,787.44**	**4,079.91**	**TOTAL EQUITY AND LIABILITIES**	**17,867.36**	**13,787.45**	**4,079.91**



BKM INDUSTRIES LIMITED

2A, Ganesh chandra Avenue, 2nd Floor, Room no - 11, Kolkata, West Bengal, India, 700013

(CIN-L27100WB2011PLC161235)

CONSOLIDATED BALANCE SHEET as on 31.03.2024

(INR' Lakhs)

Particulars	Note No.	As at 31st-Mar-24	As at 31st-Mar-23
I. ASSETS			
1. Non-current assets			
(a) Property, Plant and Equipment	3	746.94	3,324.01
(b) Capital Work-in-Progress	3	-	344.45
(c) Intangible assets under development			
(d) Financial Assets			
(i) Investments	4	0.17	4,319.92
(ii) Loans	6	-	439.57
(iii) Other financial assets	7	-	12.32
(e) Deferred tax assets (net)	8	21.94	-
(f) Other non-current assets	9	-	1,197.22
2. Current assets			
(a) Inventories	10	1.08	2,193.01
(b) Financial Assets			
(i) Trade receivables	5	5.63	4,955.81
(ii) Cash & cash equivalents	11	4.57	17.71
(iii) Bank balances other than (ii) above	11	-	0.63
(c) Current Tax Assets (net)	12	1.28	22.90
(d) Other current assets	9	-	977.19
3. Non-current assets held for Sale	3	2,448.58	66.98
TOTAL ASSETS		**3,230.18**	**17,871.72**
II. EQUITY AND LIABILITIES			
1. Equity			
(a) Equity Share Capital	13	12.35	655.34
(C) Other Equity	14	-149.78	548.17
(b) Non Controlling Interest		-	-
2. Liabilities			
(i) Non-current liabilities			
(a) Financial Liabilities			
(i) Borrowings	15	-	770.55
(ii) Other financial liabilities	17	-	35.33
(b) Provisions	19	-	291.61
(c) Deferred tax liabilities (net)	8	-	528.00
(d) Other non-current liabilities	18	-	152.87
(ii) Current liabilities			
(a) Financial Liabilities			
(i) Borrowings	15	-	12,411.32
(ii) Trade payables	16		
(A) Total outstanding dues of micro enterprises and small enterprises			
(B) Total outstanding dues of creditors other than micro enterprises and small enterprises		-	136.45
(iii) Other financial liabilities	17	2,932.76	996.26
(b) Other current liabilities	18	434.84	1,284.20
(c) Provisions	19	-	61.61
TOTAL EQUITY AND LIABILITIES		**3,230.18**	**17,871.72**

Notes forming an integral part of financial statements 1 to 27

As per our report of even date attached
For M/s. Amit Kumar Surana & Company
Chartered Accountants
Firm Regn. No. : - 332194E

CA. Amit Kumar Surana
(Proprietor)
Membership No: 304957
UDIN: 25304957BMGBSZ6923

Date : 30.05.2024
Place: Kolkata

For and on behalf of the Board

YASHVARDHAN MUKIM
(Chairman cum Managing Director)
DIN:07713187

RAHUL TIKMANI
(Director)
DIN:00702127

ADITYA FOGLA
(Company Secretary)

KISHAN KEJRIWAL
(Chief Financial Officer)

BKM INDUSTRIES LIMITED

2A, Ganesh chandra Avenue, 2nd Floor, Room no - 11, Kolkata, West Bengal, India, 700013

(CIN-L27100WB2011PLC161235)

CONSOLIDATED STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED 2024

(INR' Lakhs)

Particulars	Note No.	For the year ended 31st March,2024	For the year ended 31st March,2023
I. Income			
Revenue from Operations	20	92.53	-
Other Income	21	10.05	5.61
Other Gains/(Losses)	22	3.80	-
Rounding Off		-	-1.00
Total Income		**106.39**	**4.61**
II.Expenses			
Changes in Inventories (increase) /decrease	23	31.74	-
Depreciation and Amortization expenses	3	172.79	128.13
Other Expenses	24	128.56	90.30
Total expenses		**333.09**	**218.43**
III.Profit Before exceptional items and tax		**-226.71**	**-213.82**
Exceptional items		-	-
IV.Profit Before Taxes		**-226.71**	**-213.82**
V.Tax Expenses			
(a)Current Tax		-	-
(b)Deferred Tax Expenses/(Income)		-21.94	1.00
VI.Profit (Loss) from continuing operations		**-204.77**	**-214.82**
Profit (loss) from discontinued operations before tax		-	-
Tax expense of discontinued operations		-	-
VII.Profit (Loss) from discontinued operations (after tax)		**-**	**-**
VIII.Profit (Loss) for the year		**-204.77**	**-214.82**
IX.Other Comprehensive Income			
A (i) Items that will not be reclassified to profit or loss :			
(a) Revaluation Surplus of Property Plant & Equipment		-	-
(b) Re-measurement of defined employee benefit plans			
(ii) Income tax relating to items that will not be reclassified to profit or loss :			
(a) on Revaluation Surplus on Property, Plant & Equipment			
(b) on Re-measurement of defined employee benefit plans			
B (i) Items that will be reclassified to profit or loss :			
(a) Changes in investments other than equity shares carried at Fair Value through OCI (FVOCI)			
(ii) Income tax relating to items that will be reclassified to profit or loss :			
X.Total Other comprehensive Income after tax			
XI.Total comprehensive income for the period		**-204.77**	**-214.82**
Net Profit Attributable to:			
a) Owners of the Company		-204.77	-214.82
b) Non-Controlling Interest		-	-
Other Comprehensive Income Attributable to:			
a) Owners of the Company		-	-
b) Non-Controlling Interest		-	-
Total Comprehensive Income attributable to:			
a) Owners of the Company		-204.77	-214.82
b) Non-Controlling Interest		-	-
XII.Earnings per equity share (for continuing operation):			
(1) Basic		-0.31	-0.33
(2) Diluted		-0.31	-0.33
XIII.Earnings per equity share (for discontinued operation):			
(1) Basic		-0.31	-0.33
(2) Diluted		-0.31	-0.33
XIV.Earnings per equity share (for continuing & discontinued operations):			
(1) Basic		-0.31	-0.33
(2) Diluted		-0.31	-0.33

Notes forming an integral part of financial statements 1 to 27

As per our report of even date attached
For M/s. Amit Kumar Surana & Company
Chartered Accountants
Firm Regn. No. : - 332194E

CA. Amit Kumar Surana
(Proprietor)Membership No: 304957

UDIN: 25304957BMGBSZ6923

Date : 30.05.2024
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CONSOLIDATED STATEMENT OF CASH FLOWS

(INR' Lakhs)

	Particulars	Year Ended 31st March 2024	Year Ended 31st March 2023
A	**Operating Activities**		
	Profit before tax from continuing operations	-226.71	-212.82
	Profit/(loss) before tax from discontinuing operations		-
	Profit before tax	**-226.71**	**-212.82**
	Adjustments for:		
	Depreciation on Property, Plant and Equipment	172.79	128.13
	Amortisation of intangible assets		-
	Finance Cost (including fair value changes in financial instruments)		-
	Net foreign exchange differences		-
	Interest Income (including fair value changes in financial instruments)	-10.05	-5.61
	Dividend Income		
	Provision for Gratuity		
	(Profit)/Loss on sales of Property, Plant and Equipment		-
	Net (Gain)/Loss on remeasurement of Financial Assets carried FVTPL	-3.80	-
	Changes due to amortisation and interest on lease-hold assets under Ind AS-116		-
	Operating profit / (loss) before working capital changes	**-67.77**	**-90.30**
	Working capital adjustments:		
	Decrease/(Increase) in Trade receivables	-5.63	-
	Decrease/(Increase) in Loans		-
	Decrease/(Increase) in Inventories	31.74	
	Decrease/(Increase) in Other financial assets		
	Decrease/(Increase) in Other current assets		-
	(Decrease)/Increase in Trade payables		-
	(Decrease)/Increase in Other financial liability	18.63	-
	(Decrease)/Increase in Other current liability	-4.59	433.09
	(Decrease)/Increase in Provisions		-
		-27.62	**342.79**
	Income taxes paid		-
	NET CASH INFLOW (OUTFLOW) FROM OPERATING ACTIVITIES (A)	**-27.62**	**342.79**
B	**Investing Activities**		
	Purchase of Property, Plant and Equipment	3.80	
	Purchase of Intangible Assets		
	Changes in Capital Work In Progress		
	Invested in FD		-350.00
	Sale of Property, Plant and Equipment		
	(Purchase)/Sale of Investments		
	Interest received (finance income)	10.05	5.61
	Dividend received		
	NET CASH INFLOW (OUTFLOW) FROM INVESTING ACTIVITIES (B)	**13.85**	**-344.39**
C	**Financing Activities**		
	Proceeds from issue of equity shares		
	Interest paid		
	Proceeds/(Repayment) from borrowings		
	Dividends paid including Dividend Distribution Tax		
	NET CASH INFLOW (OUTFLOW) FROM FINANCING ACTIVITIES (C)	-	-
	Net increase (decrease) in cash and cash equivalents (A+B+C)	**-13.77**	**-1.60**
	Cash and cash equivalents at the beginning of the year	18.34	19.94
	Cash and cash equivalents at year end	**4.57**	**18.34**

This statement of cash flows have been prepared as per indirect method as prescribed under Ind AS 7 "Statement of Cash Flows".

As per our report of even date attached
For M/s. Amit Kumar Surana & Company
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Firm Regn. No. : - 332194E

CA. Amit Kumar Surana
(Proprietor)Membership No: 304957

UDIN: 25304957BMGBSZ6923

Date : 30.05.2024
Place: Kolkata

Amit Kumar Surana & Company ★ Kolkata FRN:332194E ★ Chartered Accountants

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(CIN-L27100WB2011PLC161235)

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

(INR' Lakhs)

A. Equity Share Capital

Particulars	Amount
As at 31 March 2023	**655.34**
Changes in equity share capital	**-642.99**
As at 31 March 2024	**12.35**

B. Other Equity

Particulars	Attributable to owners of BKM Industries Limited					
	Reserves & Surplus				Other Comprehensive Income	Total other equity
	Capital Reserves	General Reserves	Securities Premium	Retained Earnings	Revaluation Reserves	
Balance at 31 March 2023	**5.00**	**6,169.59**	**4,171.20**	**-11,257.62**	**1,460.00**	**548.17**
Profit for the year	-	-	-	-204.77	-	-204.77
Other comprehensive income	-	-	-	-	-	-
Total comprehensive income for the year	**-**	**-**	**-**	**-204.77**	**-**	**-204.77**
Other Adjustments	**-5.00**	-6,169.59	-4,171.20	11,312.61	-1,460.00	-493.17
Issue of equity shares	-	-	-	-	-	-
Dividends paid	-	-	-	-	-	-
Balance at 31 March 2024	**-**	**-**	**-**	**-149.78**	**-**	**-149.78**

As per our report of even date attached
For M/s. Amit Kumar Surana & Company
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Firm Regn. No. : - 332194E

CA. Amit Kumar Surana

(Proprietor)Membership No: 304957
UDIN: 25304957BMGBSZ6923

Date : 30.05.2024
Place: Kolkata

Amit Kumar Surana & Company Kolkata FRN-332194E Chartered Accountants

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BKM INDUSTRIES LIMITED
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(CIN-L27100WB2011PLC161235)

Notes to the Consolidated Financial Statements

(INR' Lakhs)

Note - 3: PROPERTY, PLANT AND EQUIPMENT

Particulars	Freehold Land	Buildings (Freehold & leasehold)	Furniture, Fittings and Equipment	Plant and Machinery	Office Equipment	Vehicles	TOTAL	Capital Work-in-Progress	Intangible Assets
Gross Carrying Amount									
At 31st March,2022	2,267	1,580	485	6,933	277	162	11,704	344	-
Additions/Adjustments during the year	-	-	-	-	-	-	-	-	-
Disposals/ Adjustments during the year	-	-	-	-	-	-	-	-	-
At 31st March,2023	**2,267**	**1,580**	**485**	**6,933**	**277**	**162**	**11,704**	**344**	**-**
Additions/Adjustments during the year	**254**	**(1,166)**	**(485)**	**(6,232)**	**(277)**	**(162)**	**(8,068)**	**(344)**	**-**
Disposals/ Adjustments during the year	-	-	-	**(269)**	-	-	**(269)**	-	-
At 31st March,2024	**2,521.02**	**414.58**	**-**	**432.69**	**-**	**-**	**3,368.30**	**-**	**-**
Accumulated Depreciation and Impairment									
At 31st March,2022	-	1,070	485	6,190	277	162	8,185	-	-
Depreciation charge for the year		43	-	85	-	-	128	-	-
Disposals during the year	-	-	-	-	-	-	-	-	-
At 31st March,2023	**-**	**1,113**	**485**	**6,275**	**277**	**162**	**8,313**	**-**	**-**
Additions/Adjustments during the year		(1,113)	(485)	(6,275)	(277)	(162)	(8,313)		-
Depreciation charge for the year	-	16	-	157	-	-	173		
Disposals during the year	-						-	-	-
At 31st March,2024	**-**	**16**	**-**	**157**	**-**	**-**	**173**	**-**	**-**
Net Book Value At 31st March,2022	2,267	510	-	744	-	-	3,519	344	-
Net Book Value At 31st March,2023	2,267	467	-	659	-	-	3,391	344	-
Net Book Value At 31st March,2024	2,521	398	-	276	-	-	3,196	-	-



Net Book Value:

Particulars	As at 31st March 2024	As at 31st March 2023	As at 31st March 2022
	INR' Lakhs	INR' Lakhs	INR' Lakhs
Property, Plant and Equipment (PPE)			
(a) PPE other than held for sale	747	3,324	3,452
(b) PPE held for sale (Refer Note V below)	2,449	67	67
Capital Work-in-progress	-	344	344
Intangible Assets	-	-	-
	3,196	3,391	3,519

The details of Assets held for sale as at end of each period is as below :-

Particulars	As at 31st March 2024	As at 31st March 2023	As at 31st March 2022
	INR' Lakhs	INR' Lakhs	INR' Lakhs
(i) Property, Plant and Equipment			
Opening Balance/Deemed Cost	67	67	67
(+) Additions	2,382	-	-
(-) Deletions	-	-	-
Carrying Amount/Deemed Cost	**2,449**	**67**	**67**

Note : The Company in accordance with the Indian Accounting Standard (Ind AS -36) on "Impairment of Assets" carried out an exercise of identifying the assets that may have been impaired in accordance with the said Ind AS. On the basis of review carried out by the management, the management has determined the value of property, plant and equipment and capital work in progress as per Valuation report Issued by the registered Valuer. As a result value of freehold land Increased by 254 Lakhs and Other Assets decreased by 353 lakhs.

The Company has identified certain items of Property, Plant and Equipment that are no longer in use and management has decided to dispose of them. These assets have been classified as Held for Sale in accordance with Ind AS 105.

Accordingly, depreciation on these assets has ceased from the date of such classification. The assets are measured at the lower of their carrying amount and fair value less costs to sell.



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Notes to the Consolidated Financial Statements

(INR' Lakhs)

Note - 4: INVESTMENTS

Particulars	As at 31st March 2024	As at 31st March 2023
Investment in Equity Instruments:		
Investment in Subsidiary Entities		
(a) Euroasian Ventures FZE 25 Equity shares fully paid of face value AED 1000000 each (on 31st March, 2020: 25 Equity shares fully paid of face value AED 1000000 each)	0.17	3,239.27
(b) Glitter Agencies Private Limited 4990000 Equity shares fully paid of face value of 10 each (on 31st March, 2020: 4990000 Equity shares fully paid of face value of 10 each)	-	499.00
(c) Jiwanjyoti Vanijya Private Limited 4990000 Equity shares fully paid of face value of 10 each (on 31st March, 2020: 4990000 Equity shares fully paid of face value of 10 each)	-	499.00
(d) BK Manaksia Nigeria Limited 39990000 Equity shares fully paid of face value of each (on 31st March, 2020: 39990000 Equity shares fully paid of face value of each)	-	81.65
(e) BKM Agrotech Private Limited 10000 Equity shares fully paid of face value of 10 each (on 31st March, 2020: 10000 Equity shares fully paid of face value of 10 each)	-	1.00
Total	**0.17**	**4,319.92**
(i) Non-current	0.17	4,319.92
(ii) Current	-	-
	0.17	**4,319.92**
Investments measured:		
(a) At Amortized Cost	0.17	4,319.92
(b) At Fair Value through Profit & Loss (FVPL)	-	-
(c) At Fair Value through Other Comprehensive Income (FVOCI)	-	-
	0.17	**4,319.92**

Note: During the year, the management carried out an assessment of the recoverability and realizable value of investments made in other entities. Based on the evaluation performed, including the financial position and future business prospects of the investee entities, the management is of the opinion that no realizable value is expected from such investments.

Accordingly, the carrying value of these investments has been fully impaired / considered non-recoverable in the financial statements, in accordance with the applicable provisions of Ind AS 36 – Impairment of Assets and other relevant accounting standards, wherever applicable.



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(INR' Lakhs)

Note - 5: TRADE RECEIVABLES

Particulars	As at 31st March 2024	As at 31st March 2023
Secured, considered good		
(i) Non-Current	-	-
Sub-Total	-	-
(ii) Current		
Gross Trade Receivables	5.63	4,955.81
Less: Trade Receivable Written off	-	-
Less: Impairment loss/(gain) on financial assets	-	-
Sub-Total	**5.63**	**4,955.81**
Total	**5.63**	**4,955.81**

Trade receivables are non-interest bearing and are generally on terms of 90 to 180 days.

Note - 6: LOANS

Particulars	As at 31st March 2024	As at 31st March 2023
Secured, considered good		
(i) Non Current		
Security Deposits	-	8.78
Inter-corporate Loans & Deposits	-	430.78
Deposits with Government Authorities		
Sub-Total	-	**439.57**
(ii) Current		
Security Deposit	-	-
Inter-corporate Loans & Deposits	-	-
Sub-Total	-	-
Total	-	**439.57**



Note - 7: OTHER FINANCIAL ASSETS

Particulars	As at 31st March 2024	As at 31st March 2023
(i) Non-Current		
Other bank balances	-	-
Sub-Total	**-**	**-**
Other financial assets		
(a) Application money paid towards subscription of se	-	12.32
(b) Others		
Sub-Total	**-**	**12.32**
Total	**-**	**12.32**
(ii) Current		
Other bank balances	-	0.63
Sub-Total	**-**	**0.63**
Other financial assets		
(a) Derivative Financial Asset	-	-
(b) Others	-	-
Sub-Total	**-**	**-**
Total	**-**	**0.63**

***Details of other balances with banks.**

Particulars	As at 31st March 2024	As at 31st March 2023
Earmarked Balances with Banks	-	0.63
Term Deposits with Bank	-	-
Margin money, guarantee and security with banks		
Total	**-**	**0.63**

Note - 8: DEFERRED TAX ASSETS/ (LIABILITIES) (NET)

Particulars	As at 31st March 2024	As at 31st March 2023
Property, Plant and Equipment	21.94	-699.00
Intangible Assets	-	-
Employee Benefit Obligation	-	99.00
MAT Credit Entitlement	-	72.00
Impairment loss/(gain) on financial assets	-	-
Total	**21.94**	**-528.00**

Note - 9: OTHER NON-CURRENT ASSETS

Particulars	As at 31st March 2024	As at 31st March 2023
(i) Non-Current		
Capital Advance		
Fixed Deposit	-	350.00
Balances with Government Authorities	-	6.51
Prepaid Lease Rentals	-	840.72
Other Loans & Advances		
Sub-Total	**-**	**1,197.22**
(ii) Current		
Capital Advance		
Security Deposit		
Balances with Government Authorities	-	417.68
Other Loans & Advances	-	559.50
Sub-Total	**-**	**977.19**
Total	**-**	**2,174.41**

Note - 10: INVENTORIES

Particulars	As at 31st March 2024	As at 31st March 2023
(a) Raw Materials	-	1,174.50
(b) Work-in-Process	1.08	331.44
(c) Finished Goods		327.28
(d) Stores & Spares		204.07
(e) Stock in Transit		
(f) Scraps		156.72
Total	**1.08**	**2,193.01**

Note - 11: CASH AND CASH EQUIVALENTS

Particulars	As at 31st March 2024	As at 31st March 2023
Balances with banks		
(i) Cash at bank	-	0.00
(ii) Cash at PNB	4.57	13.94
(iii) Cash on hand	-	4.40
(iv) Cheques on hand		
Sub Total	**4.57**	**18.34**
Less : Amount grouped under other bank balances	-	0.63
Total	**4.57**	**17.71**

Note - 12: CURRENT TAX ASSETS/ (LIABILITIES) (NET)

Particulars	As at 31st March 2024	As at 31st March 2023
Interest Receivable	0.48	
TDS	0.79	22.90
Total	**1.28**	**22.90**

Amit Kumar Surana & Company ★ Kolkata FRN-332194E ★ Chartered Accountants

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Notes to the Consolidated Financial Statements

(INR' Lakhs)

Note - 13: SHARE CAPITAL

Particulars	As at 31st March 2024	As at 31st March 2023
Equity Share Capital		
a) Authorised		
75000000 (on 31st March, 2023: 75000000) Equity Shares of Rs.1/- each	750.00	750.00
	750.00	**750.00**
b) Issued, Subscribed and Paid Up		
Equity Shares:		
30881515 (on 31st March, 2023: 65534050) Equity Shares of Rs. 0.04 /- each	12.35	655.34
Total	**12.35**	**655.34**

Above figures in bracket pertains to immediately preceding previous period figures.

c) Reconciliation of number of equity shares are set out below:

Particulars	As at 31st March 2024	As at 31st March 2023
i) Shares outstanding at the beginning of the financial year	65,534,050	65,534,050
ii) Issued during the year		
iii) Shares forfeited/brought back/cancelled during the yea	(34,652,535)	
iv) Shares outstanding at the end of the financial year	**30,881,515**	**65,534,050**

d) Details of shareholders holding more than 5% of shares

Name of the Shareholders	As at 31st March 2024		As at 31st March 2023	
	% held	No.of Shares	% held	No.of Shares
Basant Kumar Agrawal	0%	0	22%	14455940
Navneet Manaksia	0%	0	14%	9500000
Aditya B Manaksia	0%	0	14%	9500000
ICICI Bank Limited	0%	0	10%	6553405

(a)For reconciliation of number of shares outstanding at the beginning and at the end of the year - [Refer SOCE.]

(b) Pursuant to the Scheme of Reduction and Consolidation, the existing 6,55,34,050 equity shares of ₹1/- each of the Company comprising 3,46,52,535 equity shares held by the Promoters and 3,08,81,515 equity shares held by the public shareholders. The 3,46,52,535 equity shares held by the Promoters shall stand cancelled pursuant to the Scheme, and the balance 3,08,81,515 equity shares held by the public shareholders shall continue. Thereafter, every 25 equity shares of ₹0.04 each held by the public shareholders shall be consolidated into 1 equity share of ₹1/- each. Accordingly, the public shareholders holding an aggregate of 3,08,81,515 equity shares became entitled to 12,35,261 equity shares of ₹1/- each. Fractional entitlements arising out of such consolidation shall be transferred and allotted to the BKM Industries Shareholders Trust ("Trust"). The Trust shall aggregate and dispose of such fractional shares in the market, and the net sale proceeds attributable to the respective fractional entitlements shall be distributed to the concerned shareholders in accordance with the Scheme

(c) The company has changed its name from Manaksia Industries Limited to BKM Industries Limited with effect from 16th of October, 2017.

(d) No Shares has been reserved for issue under options and contracts/commitments for the sale of shares/disinvestment.

Amit Kumar Surana & Company ★ Chartered Accountants ★ Kolkata FRN-332194E

Note - 14: OTHER EQUITY

Particulars	As at 31st March 2024	As at 31st March 2023
a. Capital Reserve		
Opening Balance	5.00	5.00
Less: Transferred to Retained Earnings		
Less: Pursuant to CIRP Adjustment (refer Note 27(6))	-5.00	
Sub Total	-	**5.00**
b. Securities Premium		
Opening Balance	4,171.20	4,171.20
Add: Additions during the year	-	
Less: Pursuant to CIRP Adjustment (refer Note 27(6))	-4,171.20	
Sub Total	-	**4,171.20**
c. General Reserves		
Opening Balance	6,169.59	6,169.59
Add: Addition during the year	-	-
Less: Pursuant to CIRP Adjustment (refer Note 27(6))	-6,169.59	-
Sub Total	-	**6,169.59**
d. Revaluation Surplus		
Opening Balance	1,460.00	1,460.00
Add: Net fair value gain/(loss) on revaluation of Property, Plant and Equipment during the period	-	-
Less: Pursuant to CIRP Adjustment (refer Note 27(6))	-1,460.00	-
Sub Total	-	**1,460.00**
e. Retained Earnings		
Opening Balance	-11,257.62	-11,042.79
Add: Profit/(Loss) during the year	-204.77	-214.82
Add: Re-measurement of defined employee benefit plans through OCI Net of Tax	-	-
Add: Net fair value gain/(loss) on investments during the period	-	-
Less: Impairment loss on financial assets	-	-
Add: Restatement of Property, Plant & Equipment Depreciation on Capital Stores	-	-
Add: Grant on Re-measurement of interest Free Loan	-	-
Less: Unrecognized Interest on Interest Free Loan	-	-
Less: Pursuant to CIRP Adjustment (refer Note 27(6))	11,312.61	-
Sub Total	**-149.78**	**-11,257.62**
Total	**-149.78**	**548.17**



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Notes to the Consolidated Financial Statements

(INR' Lakhs)

Note - 15: BORROWINGS

Particulars	As at 31st Mar 2024	As at 31st Mar 2023
(i) Non-Current Borrowings		
Secured Loan		
(a) Term Loan From Banks & Financial Institutions	-	-
(b) Term Loan From others	-	-
Unsecured Loan		
(a) Loans from Bank	-	-
(b) Loans from Others	-	-
(c) Deferred Sales Tax Liability	-	770.55
Total non-current borrowings	**-**	**770.55**
(ii) Current Borrowings		
Secured Loan		
From Banks		
(a) Term Loan From Banks & Financial Institutions		3,187.17
(b) Buyers Credit	-	7,460.86
Unsecured Loan		
From Others	-	1,763.29
Total current borrowings	**-**	**12,411.32**

Note - 16: TRADE PAYABLES

Particulars	As at 31st Mar 2024	As at 31st Mar 2023
i. Non-Current		
(A) Total outstanding dues of micro enterprises and small enterprises#	-	-
(B) Total outstanding dues of creditors other than micro enterprises and small	-	-
Sub-Total	**-**	**-**
ii. Current		
(A) Total outstanding dues of micro enterprises and small enterprises#		
(B) Total outstanding dues of creditors other than micro enterprises and small	-	136.45
Sub-Total	**-**	**136.45**
Grand Total	**-**	**136.45**

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Note - 17: OTHER FINANCIAL LIABILITIES

Particulars	As at 31st Mar 2024	As at 31st Mar 2023
i. Non-Current		
Security Deposits From Consignment Ager	-	35.33
Sub-Total	**-**	**35.33**
ii. Current		
Current Maturity of Long term debt	2,550.14	-
Interest Accrued but not Due	-	424.56
EMD money received from RA	364.00	-
Others	18.63	571.70
	2,932.76	**996.26**
Total	**2,932.76**	**1,031.59**

Note:- a) Pursuant to the continuing defaults of the Company in repayment of borrowings in previous years, a corporate insolvency resolution process("CIRP") under the solvency and Bankruptcy Code, 2016 was initiated against the Company vide an order of the Kolkata Bench of the National Company Law Tribunal ("NCLT") . On September 19, 2023, the NCLT approved the terms of the Resolution Plan submitted by Uniglobal Papers Pvt Ltd. The accounting for the borrowings was carried out considering the terms of such Resolution Plan.

b) Pursuant to the Resolution Plan approved by the National Company Law Tribunal ("NCLT") vide order dated 19 September 2023, the maturity profile of term loans from banks comprises ₹700 Lakhs pertaining to Financial Year 2023–24, which has been paid, and ₹2,500 Lakhs pertaining to Financial Year 2024–25, which remains due as at the reporting date. The repayment obligations are being serviced in accordance with the terms and conditions stipulated under the approved Resolution Plan.

Note - 18: OTHER CURRENT LIABILITIES

Particulars	As at 31st Mar 2024	As at 31st Mar 2023
i. Non-current		
(i) Leasehold building liability	-	152.87
Total	**-**	**152.87**
ii. Current		
(i) Statutory Dues Payable	7.35	704.08
(ii) Workmen Employee	176.49	-
(iii) Unpaid Dividend Account	-	0.63
(iv) COC	-	225.49
(v) EMD money received from RA	-	354.00
(Vii) Advance Received against sale of PPE	251.00	-
Total	**434.84**	**1,284.20**

Note - 19: PROVISIONS

Particulars	As at 31st Mar 2024	As at 31st Mar 2023
(i) Provision for Employee Benefits	-	-
(ii) Provision for Gratuity	-	354.21
Total	**-**	**354.21**
(i) Non Current	-	291.61
(ii) Current	-	61.61
Total	**-**	**354.21**

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Notes to the Consolidated Financial Statements

(INR' Lakhs)

Note - 20: REVENUE FROM OPERATIONS

Particulars	31st March 2024	31st March 2023
Sale of Products	92.53	-
Sale of Services	-	-
Other Operating Revenue	-	-
Total	**92.53**	**-**
Sale of Products :		
Gross Sale of Products	92.53	-
Less: Discounts	-	-
Less : Goods & Services Tax	-	-
Net Sale of Products	**92.53**	**-**

***During the financial year ended 31.03.2024, the manufacturing activities of the Company remained non-operational. Accordingly, no production activities were carried out during the year.**
The revenue recognized during the year represents proceeds from the sale of existing inventories available with the Company. No revenue was generated from fresh manufacturing activities during the year under review.
The Company continues to operate under the framework of the Corporate Insolvency Resolution Process ("CIRP") pursuant to the provisions of the Insolvency and Bankruptcy Code, 2016, and the affairs of the Company are being managed in accordance with the approved resolution process/applicable regulatory directions.

Note - 21: OTHER INCOME

Particulars	31st March 2024	31st March 2023
Interest Income :		
Interest on Income Tax Refund	3.25	-
Interest Received on FD	6.80	5.61
Total	**10.05**	**5.61**

Note - 22: OTHER GAINS/ (LOSSES)

Particulars	31st March 2024	31st March 2023
Net gain/(losses) on disposal of Property, Plant & Equipment	3.80	-
Other Items		
Total	**3.80**	**-**

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Notes to the Consolidated Financial Statements

(INR' Lakhs)

Note - 23: CHANGES IN INVENTORIES

Particulars	31st March 2024	31st March 2023
Opening Stock		
Finished Goods	6.55	327.28
Semi-Finished Goods	10.48	331.44
Scrap Material	15.80	156.72
Sub-Total	**32.82**	**815.44**
Less:- Closing Stock		
Finished Goods	-	327.28
Semi-Finished Goods	1.08	331.44
Scrap Material	-	156.72
Sub-Total	**1.08**	**815.44**
INCREASE(-)/DECREASE(+)	**31.74**	**-**

Note -24: OTHER EXPENSES

Particulars	31st March 2024	31st March 2023
Repairs & Renewals:		
Plant & Machinery	-	-
Building	-	-
Others	-	-
Lease Rent	4.35	-
Rental Charges other than lease	-	-
Auditors Remuneration (**Note 25**)	0.80	-
Insurance	-	-
Rates and related Taxes	-	-
Bank Commission and Banking Administration Charges	0.10	-
Packing Expenses	-	-
Freight Forwarding & Handling Expenses	-	-
Communication Expenses	-	-
Impairment (loss)/gain on financial assets	-	-
Travelling Conveyance	-	-
Miscellaneous Expenses	4.73	-
Prior period Errors	-	-
Donation	-	-
Corporate Social Responsibility Expenses	-	-
CIRP cost	61.37	90.30
Security Services Charges	27.87	-
Professional & Legal Fee	29.35	-
	128.56	**90.30**

Note - 25 DETAILS OF PAYMENT TO AUDITORS

Particulars	31st March 2024	31st March 2023
As Auditors		
Audit Fees	0.80	-
Tax Audit Fee	-	-
	0.80	**-**

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Note - 26: DETAILS OF INVESTMENTS IN SUBSIDIARIES (INR' Lakhs)

Name of the Subsidiaries	31st March 2024		31st March 2023	
	Fair Value	Cost	Fair Value	Cost
(a) Euroasian Ventures FZE	0.17	-	-	3,239.27
(b) Glitter Agencies Private Limited	-	-	-	499.00
(c) Jiwanjyoti Vanijya Private Limited	-	-	-	499.00
(d) BK Manaksia Nigeria Limited	-	-	-	81.65
(e) BKM Agrotech Private Limited	-	-	-	-
Total	**0.17**	**-**	**-**	**4,318.92**

Note: During the year, the management carried out an assessment of the recoverability and realizable value of investments made in other entities. Based on the evaluation performed, including the financial position and future business prospects of the investee entities, the management is of the opinion that no realizable value is expected from such investments.

Accordingly, the carrying value of these investments has been fully impaired / considered non-recoverable in the financial statements, in accordance with the applicable provisions of Ind AS 36 – Impairment of Assets and other relevant accounting standards, wherever applicable.



AMIT KUMAR SURANA & COMPANY
CHARTERED ACCOUNTANTS

PROP:- AMIT KUMAR SURANA
CA, CS, LLB, B.COM(H)

INDEPENDENT AUDITOR'S REPORT

To,

The Members of

BKM INDUSTRIES LIMITED

Report on the Audit of the Standalone Financial Statements

OPINION

We have audited the accompanying Standalone Financial Statements of **BKM INDUSTRIES LIMITED** ("the Company"), which comprise the Balance Sheet as at 31st March, 2024, the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Changes in Equity and the Statement of Cash Flows for the year ended on that date, and a summary of the significant accounting policies and other explanatory information (hereinafter referred to as "the Standalone Financial Statements").

The investment of Rs. 0.17 lakhs in Euroasian Ventures FZE has been valued based solely on management-certified financial information. As the financial statements and other supporting financial information of the subsidiary were not available for our verification, we were unable to obtain sufficient appropriate audit evidence regarding the valuation and recoverability of the said investment. Accordingly, we are unable to comment on the appropriateness of the carrying value of the investment disclosed in the financial statements.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid Standalone Financial Statements give the information required by the Companies Act, 2013 (the "Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under Section 133 of the Act ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Company as at 31st March, 2024, and its **loss**, total comprehensive **loss**, changes in equity and its cash flows for the year ended on that date.

BASIS OF OPINION

We conducted our audit of the Standalone Financial Statements in accordance with the Standards on Auditing ("SAs") specified under Section 143(10) of the Act. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Standalone Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ("ICAI") together with the ethical requirements that are relevant to our audit of the Standalone Financial Statements under the provisions of the Act and the Rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the Standalone Financial Statements except the information related to the Investment in subsidiary company.

EMPHASIS OF MATTER

We draw attention to Note 27 and the related notes to the Standalone Financial Statements, which describe that a Corporate Insolvency Resolution Process ("CIRP") under the Insolvency and Bankruptcy Code, 2016 ("the Code") was initiated against the Company, and that the

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Amit Kumar Surana & Company
Kolkata
FRN-332194E
Chartered Accountants

Particulars	Balance Sheet (Pre CIRP)	Adjustment Due to CIRP	Balance Sheet (Post CIRP)	Particulars	Balance Sheet (Pre CIRP)	Adjustment Due to CIRP	Balance Sheet (Post CIRP)
I. ASSETS				**II. EQUITY AND LIABILITIES**			
1. Non-current assets				**1. Equity**			
(a) Property, Plant and Equipment	3,324.01	(313.05)	3,637.06	(a) Equity Share Capital	655.34	642.99	12.35
(b) Capital Work-in-Progress	344.45	344.45	-	(b) Other Equity			-
(c) Intangible assets	-	-	-	(i) Capital Reserve	5.00	5.00	-
(d) Intangible assets under development	-	-	-	(ii) Securities Premium	4,171.20	4,171.20	-
(e) Financial Assets	-	-	-	(iii) General Reserves	6,169.59	6,169.59	-
(i) Investments	4,319.92	4,319.75	0.17	• (iv) Revaluation Surplus	1,460.00	1,460.00	-
(ii) Trade receivables	-	-	-	(v) Retained Earnings	-11,312.61	-11,312.61	-
(iii) Loans	439.57	439.57	-	**2. Liabilities**			
(iv) Other financial assets	12.32	12.32	-	(i) Non-current liabilities	-	-	-
(f) Deferred tax assets (net)	-	-	-	(a) Financial Liabilities	-	-	-
(g) Other non-current assets	1,197.22	847.22	350.00	(i) Borrowings	770.55	770.55	-
				(ii) Trade payables	-	-	-
2. Current assets				(A) Total outstanding dues of micro enterprises and small enterprises	-	-	-
				(B) Total outstanding dues of creditors other than micro enterprises and small enterprises	-	-	-
(a) Inventories	2,193.01	2,160.18	32.82	(iii) Other financial liabilities	35.33	35.33	-
(b) Financial Assets	-	-	-	(b) Provisions	291.61	291.61	-
(i) Investments	-	-	-	(c) Deferred tax liabilities (net)	528.00	528.00	-
(ii) Trade receivables	4,955.81	4,955.81	-	(d) Other non-current liabilities	152.87	152.87	-
(iii) Cash & cash equivalents	11.68	3.78	7.90	**(ii) Current liabilities**	-	-	-
(iv) Bank balances other than (iii) above	0.63	0.63	-	(a) Financial Liabilities	-	-	-
(v) Loans	-	-	-	(i) Borrowings	12,411.32	12,411.32	-
(vi) Other financial assets	-	-	-	(ii) Trade payables	-	-	-
(c) Current Tax Assets (net)	24.58	(27.38)	51.96	(A) Total outstanding dues of micro enterprises and small enterprises	-	-	-
(d) Other current assets	977.19	977.19	-	(B) Total outstanding dues of creditors other than micro enterprises and small enterprises	136.45	136.45	-
	-	-	-	(iii) Other financial liabilities	996.26	(2,808.43)	3,804.69
3. Non-current assets held for disposal	66.98	66.98	-	(b) Other current liabilities	1,334.84	1,071.97	262.88
				(c) Provisions	61.61	61.61	
TOTAL ASSETS	**17,867.36**	**13,787.44**	**4,079.91**	**TOTAL EQUITY AND LIABILITIES**	**17,867.36**	**13,787.45**	**4,079.91**

operating effectiveness. Our audit of internal financial controls with reference to Standalone Financial Statements included obtaining an understanding of internal financial controls with reference to Standalone Financial Statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the Standalone Financial Statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system with reference to Standalone Financial Statements.

MEANING OF INTERNAL FINANCIAL CONTROLS WITH REFERENCE TO STANDALONE FINANCIAL STATEMENTS

A Company's internal financial controls with reference to Standalone Financial Statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A Company's internal financial controls with reference to Standalone Financial Statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the Company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the Company are being made only in accordance with authorisations of Management and Directors of the Company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the Company's assets that could have a material effect on the financial statements.

INHERENT LIMITATIONS OF INTERNAL FINANCIAL CONTROLS WITH REFERENCE TO STANDALONE FINANCIAL STATEMENTS

Because of the inherent limitations of internal financial controls with reference to Standalone Financial Statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to Standalone Financial Statements to future periods are subject to the risk that the internal financial controls with reference to Standalone Financial Statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

For M/s Amit Kumar Surana & Company
Chartered Accountants
Firm Registration No.: 332194E

(CA. Amit Kumar Surana)
Proprietor

Membership No.: 304957
UDIN: 25304957BMGBSX3574

Place: Kolkata
Date: 30th May, 2024

Notes

Note 1-2

NOTE 1: CORPORATE INFORMATION

BKM Industries Limited ('the Company') is a Public Limited Company engaged primarily in the business of manufacturing and supply of Aluminium and Steel bottle caps, 2-piece & 3-piece cans. The Company has manufacturing plants across India and is listed on the Bombay Stock Exchange Limited (BSE) and National Stock Exchange of India Limited (NSE). The Company's registered office is at 2A, Ganesh Chandra Avenue, 2nd Floor, Room No - 11, Kolkata, West Bengal, India, 700013.

NOTE 2: BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES

A. Basis of Preparation

a. Statement of Compliance

The financial statement of the Company has been prepared to comply with Indian Accounting Standard including the rules notified under the relevant provisions of the Companies Act, 2013.

b. Functional and presentation currency

These financial statements are presented in Indian Rupees (`), which is the Company's functional currency. All amounts have been rounded to the nearest lakh, unless otherwise indicated.

c. Basis of Measurement

These financial statements have been prepared on a historical cost convention basis, except for the following:

i. Certain financial assets and liabilities that are measured at fair value.
ii. Assets held for sale- Measured at the lower of (a) carrying amount and (b) fair value less cost to sell.
iii. Net defined benefit plans- Plan assets measured at fair value less present value of defined benefit obligation.

Determining the Fair Value

While measuring the fair value of an asset or a liability, the Company uses observable market data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows.

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

If the inputs used to measure the fair value of an asset or a liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

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Chartered Accountants

INDEPENDENT AUDITOR'S REPORT

To,
The Members of
BKM INDUSTRIES LIMITED

Report on the Audit of the Standalone Financial Statements

OPINION

We have audited the accompanying Standalone Financial Statements of **BKM INDUSTRIES LIMITED** ("the Company"), which comprise the Balance Sheet as at 31st March, 2024, the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Changes in Equity and the Statement of Cash Flows for the year ended on that date, and a summary of the significant accounting policies and other explanatory information (hereinafter referred to as "the Standalone Financial Statements").

The investment of Rs. 0.17 lakhs in Euroasian Ventures FZE has been valued based solely on management-certified financial information. As the financial statements and other supporting financial information of the subsidiary were not available for our verification, we were unable to obtain sufficient appropriate audit evidence regarding the valuation and recoverability of the said investment. Accordingly, we are unable to comment on the appropriateness of the carrying value of the investment disclosed in the financial statements.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid Standalone Financial Statements give the information required by the Companies Act, 2013 (the "Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under Section 133 of the Act ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Company as at 31st March, 2024, and its **loss**, total comprehensive **loss**, changes in equity and its cash flows for the year ended on that date.

BASIS OF OPINION

We conducted our audit of the Standalone Financial Statements in accordance with the Standards on Auditing ("SAs") specified under Section 143(10) of the Act. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Standalone Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ("ICAI") together with the ethical requirements that are relevant to our audit of the Standalone Financial Statements under the provisions of the Act and the Rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the Standalone Financial Statements except the information related to the Investment in subsidiary company.

EMPHASIS OF MATTER

We draw attention to Note 30 and the related notes to the Standalone Financial Statements, which describe that a Corporate Insolvency Resolution Process ("CIRP") under the Insolvency and Bankruptcy Code, 2016 ("the Code") was initiated against the Company, and that the

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d. Critical Accounting Judgements and Key Sources of Estimation Uncertainty

The preparation of the financial statements in conformity with Ind AS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income, expenses and disclosures of contingent assets and liabilities at the date of these financial statements and the reported amounts of revenues and expenses for the years presented.

These judgments and estimates are based on management's best knowledge of the relevant facts and circumstances, having regard to previous experience, but actual results may differ materially from the amounts included in the financial statements. Estimates and underlying assumptions are reviewed on an on-going basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and future periods affected. The information about significant areas of estimation uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements are as given below:-

i. Impairment test of non financial assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or Cash Generating Units (CGU) fair value less costs of disposal and its value in use. It is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent to those from other assets or groups of assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less cost of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other available fair value indicators.

ii. Allowance for bad debts / expected credit loss

The Management makes estimates related to the recoverability of receivables, whose book values are adjusted through an allowance for Expected losses/ Provision for Doubtful debts. Management specifically analyses accounts receivable, customers' creditworthiness, current economic trends and changes in customer's collection terms when assessing the adequate allowance for Expected losses/ Provision for Doubtful debts, which are estimated over the lifetime of the debts.

iii. Recognition and measurement of Provisions and Contingencies

Provisions and liabilities are recognised in the year when it becomes probable that there will be a future outflow of funds resulting from past operations or events and the amount of cash outflow can be reliably estimated. The timing of recognition and quantification of the liability require the application of judgement to existing facts and circumstances, which can be subject to change. Since the cash outflows can take place many years in the future, the carrying amounts of provisions and liabilities are reviewed regularly and adjusted to take account of changing facts and circumstances.

Resolution Plan submitted by Uniglobal Papers Private Limited was approved by the Hon'ble National Company Law Tribunal, Kolkata Bench ("NCLT") under Section 31 of the Code vide its order dated 19th September, 2023. The accompanying Standalone Financial Statements have been prepared by the Management giving effect to the said Resolution Plan, including the reduction and consolidation of equity share capital, the restructuring and derecognition of borrowings and other liabilities, the impairment of investments and the classification of certain assets as held for sale, in the manner and to the extent set out in the said Notes.

As more fully described in the said Notes, the net effect of giving effect to the Resolution Plan — being the excess of liabilities, provisions and reserves extinguished, waived or otherwise adjusted over the carrying amount of assets derecognised, written off or impaired, aggregating ₹ 11,312.61/- Lakhs — has been adjusted by the Management directly against Retained Earnings (i.e. through equity) and has not been routed through the Statement of Profit and Loss. The capital reduction of ₹ 642.99/- Lakhs arising on the reduction and consolidation of equity share capital has likewise been adjusted against Retained Earnings, and the balances lying in Capital Reserve, Securities Premium, General Reserve and Revaluation Surplus have been adjusted pursuant to the Resolution Plan, all in the manner set out in the said Notes.

Our opinion is not modified in respect of this matter.

KEY AUDIT MATTERS

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Standalone Financial Statements of the current period. These matters were addressed in the context of our audit of the Standalone Financial Statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

Sr. No.	Key Audit Matter	How our audit addressed the key audit matter
1	**Accounting for the effects of the Resolution Plan (CIRP)** Refer Note 30 to the Standalone Financial Statements regarding the Resolution Plan approved by the Hon'ble NCLT, Kolkata Bench under Section 31 of the Insolvency and Bankruptcy Code, 2016 vide order dated 19th September, 2023. Owing to the multiplicity of contractual arrangements and the large number of financial and operational creditors, the determination and recognition of the effects of the Resolution Plan involved significant management judgment. In particular, the net effect of the Resolution Plan, aggregating ₹ 11,312.61 Lakhs (being liabilities, provisions and reserves extinguished or adjusted, net of assets derecognised or	Our principal audit procedures included: • Obtained and read the Resolution Plan and the order of the Hon'ble NCLT dated 19th September, 2023 to understand the terms of the Plan and their financial reporting implications; • Reviewed the Management's process for implementation of the Resolution Plan and the accounting policies adopted to give effect to its terms; • Verified, on a test-check basis, the carrying amounts of liabilities extinguished, restructured or settled, and the consequential adjustments to share capital and

Contingencies

In the normal course of business, contingent liabilities may arise from litigation, taxation and other claims against the Company. Where it is management's assessment that the outcome cannot be reliably quantified or is uncertain, the claims are disclosed as contingent liabilities unless the likelihood of an adverse outcome is remote. Such liabilities are disclosed in the notes but are not provided for in the financial statements. When considering the classification of legal or tax cases as probable, possible or remote, there is judgement involved. Although there can be no assurance regarding the final outcome of the legal proceedings, the Company does not expect them to have a materially adverse impact on the Company's financial position.

iv. Recognition of Deferred Tax Assets

Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with business developments.

v. Impairment of financial assets

The impairment provisions for financial assets are based on assumptions about risk of default and expected cash loss. The Company uses judgement in making these assumptions and selecting the inputs to the impairment calculation, based on Company's past history, existing market conditions as well as forward looking estimates at the end of each reporting year.

vi. Income Taxes

There are transactions and calculations for which the ultimate tax determination is uncertain and would get finalised on completion of assessment by tax authorities. Where the final tax outcome is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax in the year in which such determination is made.

vii. Depreciation / Amortisation and useful lives of Property Plant and Equipment (PPE) / Intangible Assets

PPE / intangible assets are depreciated / amortised over their estimated useful lives, after taking into account estimated residual value. Management reviews the estimated useful lives and residual values of the assets annually in order to determine the amount of depreciation to be recorded during any reporting period. The useful lives and residual values are based on the Company's historical experience with similar assets and take into account anticipated technological changes. The depreciation /amortisation for future periods are revised if there are significant changes from previous estimates.

viii. Exceptional items

Exceptional items are those items that management considers, by virtue of their size or incidence, should be disclosed separately to ensure that the financial information allows an understanding of the underlying performance of the business in the year, so as to facilitate comparison with prior periods. Such items are material by nature or amount to the year's result and / or require separate disclosure in accordance with Ind AS. The determination as to which items should be disclosed separately requires a degree of judgement.

Sr. No.	Key Audit Matter	How our audit addressed the key audit matter
	impaired), together with the capital reduction of ₹ 642.99 Lakhs, has been adjusted by the Management directly against Retained Earnings (through equity) rather than being routed through the Statement of Profit and Loss. The appropriateness of this presentation, and the consequential adjustments to share capital and the other components of equity, was a complex matter that was, in our view, of most significance to the users' understanding of the Standalone Financial Statements as a whole. Accordingly, we have determined this to be a key audit matter.	reserves, against the supporting documents and computations; • Evaluated the basis for the Management's presentation of the net effect of the Resolution Plan, aggregating ₹ 11,312.61 Lakhs, as an adjustment to Retained Earnings (through equity) rather than through the Statement of Profit and Loss, and assessed whether such presentation is consistent with the terms of the Resolution Plan and the applicable Ind AS; • Evaluated whether the accounting principles applied fairly present the effects of the Resolution Plan in accordance with the applicable Ind AS; and • Assessed the relevant disclosures made in the Standalone Financial Statements.
2	**Impairment of investments and classification and measurement of assets held for sale** Refer Note 4 (Investments) and Note 3 (Assets held for sale) to the Standalone Financial Statements. During the year, the carrying value of investments in subsidiary and other entities was fully impaired from ₹ 4,319.92 Lakhs to ₹ 0.17 Lakhs, and certain items of property, plant and equipment aggregating ₹ 2,448.58 Lakhs were classified as held for sale. These matters involve significant management judgment regarding recoverability, the assessment of fair value less costs to sell and the satisfaction of the held-for-sale criteria under Ind AS 36 and Ind AS 105, and were therefore considered to be a key audit matter.	Our principal audit procedures included: • Evaluated the Management's assessment of recoverability and realisable value of the investments and the basis for the impairment recognised; • Examined the registered valuer's report relied upon by the Management for the measurement of property, plant and equipment and assets held for sale; • Assessed whether the held-for-sale criteria under Ind AS 105 were met and that depreciation had ceased from the date of such classification; and • Assessed the adequacy of the related disclosures in the

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e. Current and non-current classification

The Company presents assets and liabilities in statement of financial position based on current/ non-current classification. The Company has presented non-current assets and current assets before equity, non-current liabilities and current liabilities in accordance with Schedule III, Division II of Companies Act, 2013 notified by MCA.

An asset is classified as current when it is:

i. Expected to be realised or intended to be sold or consumed in normal operating cycle,
ii. Held primarily for the purpose of trading,
iii. Expected to be realised within twelve months after the reporting year, or
iv. Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting year.

All other assets are classified as non-current.

A liability is classified as current when it is:

i. Expected to be settled in normal operating cycle,
ii. Held primarily for the purpose of trading,
iii. Due to be settled within twelve months after the reporting year, or
iv. There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting year.

The Company classifies all other liabilities as non-current.

The operating cycle is the time between the acquisition of assets for processing and their realisation in cash or cash equivalents. Deferred tax assets and liabilities are classified as non-current assets and liabilities. The Company has identified twelve months as its normal operating cycle.

B. Significant Accounting Policies

a. Property, Plant and Equipment:

i. Recognition and measurement

Property, Plant and equipment are measured at cost (which includes capitalised borrowing costs) less accumulated depreciation and accumulated impairment losses, if any.

The cost of an item of property, plant and equipment comprises:

i. its purchase price, including import duties and non-refundable purchase taxes, after deducting trade discounts and rebates.
ii. any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by the management.
iii. the initial estimate of the costs of dismantling and removing the item and restoring the site on which it is located.

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Sr. No.	Key Audit Matter	How our audit addressed the key audit matter
		Standalone Financial Statements.

OTHER INFORMATION

The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Annual Report, but does not include the Standalone Financial Statements and our Auditor's Report thereon.

Our opinion on the Standalone Financial Statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the Standalone Financial Statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the Standalone Financial Statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. When we read the Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

MANAGEMENT'S AND BOARD OF DIRECTORS' RESPONSIBILITY FOR THE STANDALONE FINANCIAL STATEMENTS

The Company's Management and Board of Directors are responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these Standalone Financial Statements that give a true and fair view of the financial position, financial performance, total comprehensive income, changes in equity and cash flows of the Company in accordance with the Ind AS and other accounting principles generally accepted in India. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Standalone Financial Statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the Standalone Financial Statements, the Management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is also responsible for overseeing the financial reporting process of the Company.

If significant parts of an item of property, plant and equipment have different useful lives, then they are accounted for as separate items (major components) of property, plant and equipment and depreciated accordingly.

Any gain or loss on disposal of an item of property, plant and equipment is recognised in Statement of profit or loss.

Capital work-in-progress includes cost of property, plant and equipment under installation / under development as at the balance sheet date.

Leasehold lands are amortised over the period of lease. Buildings constructed on leasehold land are depreciated based on the useful life specified in schedule II to the Companies Act, 2013, where the lease period of land is beyond the life of the building. In other cases, buildings constructed on leasehold lands are amortised over the primary lease period of the lands.

On transition to Ind AS as on April 1, 2015 the Company has elected to measure certain items of Property, Plant and Equipment [Freehold Land, Building and Plant and Equipment's] at Fair Value and for other Property, Plant and Equipment these are measure at cost as per Ind AS. The same are considered as deemed cost on the date of transition to Ind AS.

ii. Subsequent expenditure

Subsequent expenditure is capitalised only if it is probable that the future economic benefits associated with the expenditure will flow to the Company.

iii. Depreciation, estimated useful life and estimated residual value

Depreciation is calculated using the straight-line Method, pro rata to the period of use, taking into account useful lives and residual value of the assets. The useful life of assets & the estimated residual value, which are different from those prescribed under Schedule II to the Companies Act, 2013, are based on technical advice as under:

Depreciation is computed with reference to cost.

The assets residual value and useful life are reviewed and adjusted, if appropriate, at the end of each reporting year. Gains and losses on disposal are determined by comparing proceeds with carrying amounts. These are included in the statement of Profit and Loss.

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AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE STANDALONE FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the Standalone Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an Auditor's Report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Standalone Financial Statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Standalone Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls with reference to Standalone Financial Statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures in the Standalone Financial Statements made by the Management and Board of Directors.
- Conclude on the appropriateness of the Management and Board of Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our Auditor's Report to the related disclosures in the Standalone Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our Auditor's Report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Standalone Financial Statements, including the disclosures, and whether the Standalone Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the Standalone Financial Statements that, individually or in the aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the Standalone Financial Statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the Standalone Financial Statements.

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b. Intangible Assets

Identifiable intangible assets are recognised when it is probable that future economic benefits attributed to the asset will flow to the Company and the cost of the asset can be reliably measured. Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the statement of profit and loss when the asset is derecognised.

i.Recognition and measurement

Computer software's have finite useful lives and are measured at cost less accumulated amortisation and any accumulated impairment losses.

Acquired brands / Trademarks have indefinite useful life and as on transition date April 1, 2015 have been Fair valued based on reports of expert valuer, which is considered as deemed cost on transition to Ind AS. The same are tested for impairment, if any , at the end of each accounting year.

ii.Subsequent expenditure

Subsequent expenditure is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure, including expenditure on internally generated goodwill and brands, when incurred is recognised in statement of profit or loss.

iii.Amortisation

Amortisation is calculated to write off the cost of intangible assets less their estimated residual values using the straight-line method over their estimated useful lives and is generally recognised in statement of profit or loss. Computer software are amortised over their estimated useful life or 5 years, whichever is lower. Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted, if required.

c. Impairment of assets

An asset is considered as impaired when at the date of Balance Sheet, there are indications of impairment and the carrying amount of the asset, or where applicable, the cash generating unit to which the asset belongs, exceeds its recoverable amount (i.e. the higher of the net asset selling price and value in use).The carrying amount is reduced to the recoverable amount and the reduction is recognised as an impairment loss in the statement of profit and loss. The impairment loss recognised in the prior accounting period is reversed if there has been a change in the estimate of recoverable amount. Post impairment, depreciation is provided on the revised carrying value of the impaired asset over its remaining useful life.

d. Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one Company and a financial liability or equity instrument of another Company. Financial instruments also include derivative contracts such as foreign currency foreign exchange forward contracts, interest rate swaps and currency options.

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We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Standalone Financial Statements of the current period and are therefore the key audit matters. We describe these matters in our Auditor's Report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government of India in terms of sub-section (11) of Section 143 of the Act, we give in "Annexure A", a statement on the matters specified in the paragraphs 3 and 4 of the Order, to the extent applicable.

2. As required by Section 143(3) of the Act, based on our audit, we report that:

   (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.

   (b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.

   (c) The Balance Sheet, the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Changes in Equity and the Statement of Cash Flows dealt with by this Report are in agreement with the books of account.

   (d) In our opinion, the aforesaid Standalone Financial Statements comply with the Indian Accounting Standards prescribed under Section 133 of the Act.

   (e) On the basis of the written representations received from the directors as on 31st March, 2024 and taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 2024 from being appointed as a director in terms of Section 164(2) of the Act.

   (f) With respect to the adequacy of the internal financial controls with reference to Standalone Financial Statements of the Company and the operating effectiveness of such controls, refer to our separate report in "Annexure B". Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the Company's internal financial controls with reference to Standalone Financial Statements.

i. **Financial assets**

Initial recognition and measurement

All financial assets are initially recognised at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets, which are not at fair value through profit or loss, are adjusted to the fair value on initial recognition. Financial assets are classified, at initial recognition, as financial assets measured at fair value or as financial assets measured at amortised cost.

Subsequent Measurement

Financial Assets measured at Amortised Cost (AC)

A Financial Asset is measured at Amortised Cost if it is held within a business model whose objective is to hold the asset in order to collect contractual cash flows and the contractual terms of the Financial Asset give rise on specified dates to cash flows that represent solely payments of principal and interest on the principal amount outstanding.

Financial Assets measured at Fair Value Through Other Comprehensive Income (FVTOCI)

A Financial Asset is measured at FVTOCI if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling Financial Assets and the contractual terms of the Financial Asset give rise on specified dates to cash flows that represents solely payments of principal and interest on the principal amount outstanding.

Financial Assets measured at Fair Value Through Profit or Loss (FVTPL)

A Financial Asset which is not classified in any of the above categories are measured at FVTPL. Financial assets are reclassified subsequent to their recognition, if the Company changes its business model for managing those financial assets. Changes in business model are made and applied prospectively from the reclassification date which is the first day of immediately next reporting period following the changes in business model in accordance with principles laid down under Ind AS 109 – Financial Instruments.

In case of investments

In Equity instruments

- For subsidiaries, associates and Joint ventures - Investments are measured at cost and tested for impairment periodically. Impairment (if any) is charged to the Statement of Profit and Loss.

- For Other than subsidiaries, associates and Joint venture - Investments are measured at Fair value through Other Comprehensive Income [FVTOCI].

In Mutual fund

Measured at Fair value through Profit and Loss (FVTPL).

Guarantee Commission

Guarantees extended to subsidiaries, associates and Joint ventures are Fair Valued.

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(g) With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of Section 197(16) of the Act, as amended, in our opinion and to the best of our information and according to the explanations given to us, the remuneration paid/provided by the Company to its directors during the year is in accordance with the provisions of Section 197 of the Act.

(h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended, in our opinion and to the best of our information and according to the explanations given to us:

i. The Company does not have any pending litigation which would impact its financial position in its Standalone Financial Statements, other than as disclosed in the Notes to the Standalone Financial Statements.

ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.

iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Company.

iv. (a) The Management has represented that, to the best of its knowledge and belief, no funds (which are material either individually or in the aggregate) have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

(b) The Management has represented that, to the best of its knowledge and belief, no funds (which are material either individually or in the aggregate) have been received by the Company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and

(c) Based on such audit procedures that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (a) and (b) above, contain any material misstatement.

v. No dividend has been declared or paid by the Company during the year. Accordingly, reporting on compliance with Section 123 of the Act is not applicable.



Debt instruments

The Company measures the debt instruments at Amortised Cost. Assets that are held for collection of contractual cash flows where those cash flows represent solely payment of principal and interest [SPPI] are measured at amortised cost. A gain or loss on a debt investment that is subsequently measured at amortised cost and is not part of the hedging relationship is recognised in profit or loss when the asset is derecognised or impaired. Interest income from these financial assets is included in finance income using the Effective interest rate method.

Derecognition of financial assets

The Company derecognises a financial asset when the contractual rights to cash flows from the asset expire, or it transfers the rights to receive the contractual cash flows on the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred.

Impairment of financial assets

In accordance with Ind-AS 109, the Company applies Expected Credit Loss (ECL) model for measurement and recognition of impairment loss on the following financial asset and credit risk exposure:

i. Financial assets that are debt instruments and are measured at amortised cost e.g., loans, debt securities, deposits, and bank balance.
ii. Trade receivables The Company follows 'simplified approach' for recognition of impairment loss allowance on:

- Trade receivables which do not contain a significant financing component. The application of simplified approach does not require the Company to track changes in credit risk. Rather, it recognises impairment loss allowance based on lifetime ECLs at each reporting date, right from its initial recognition.

- For recognition of impairment loss on other financial assets and risk exposure, the Company determines that whether there has been a significant increase in the credit risk since initial recognition. Expected Credit Loss Model is used to provide for impairment loss.

ii. Financial liabilities Classification

The Company classifies its financial liabilities in the following measurement categories:

- those to be measured subsequently at fair value through profit and loss-[FVTPL]; and

- those measured at amortised cost. [AC]

The classification depends on the Company's business model for managing the financial assets and the contractual terms of the cash flows.

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vi. Based on our examination, which included test checks, the Company has used accounting software systems for maintaining its books of account for the financial year ended 31st March, 2024 which have the feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software systems. Further, during the course of our audit, we did not come across any instance of the audit trail feature being tampered with. Additionally, the audit trail has been preserved by the Company as per the statutory requirements for record retention.

For M/s Amit Kumar Surana & Company
Chartered Accountants
Firm Registration No.: 332194E

(CA. Amit Kumar Surana)
Proprietor

Membership No.: 304957
UDIN: 25304957BMGBSX3574

Place: Kolkata
Date: 30th May, 2024



Initial recognition and measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through profit or loss or at amortised cost.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

The Company's financial liabilities include trade and other payables, loans and borrowings including bank overdrafts, financial guarantee contracts and derivative financial instruments.

Subsequent measurement

Financial liabilities are subsequently carried at amortised cost using the effective interest method. For trade and other payables maturing within one year from the balance sheet date, the carrying amounts are approximate at their fair value due to the short maturity of these instruments.

Financial liabilities at fair value through profit or loss [FVTPL]

Financial liabilities at fair value through profit or loss [FVTPL] include financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are incurred for the purpose of repurchasing in the near term. This category also includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by Ind-AS 109. Separated embedded derivatives are also classified as held for trading unless they are designated as effective hedging instruments.

Gains or losses on liabilities held for trading are recognised in the profit or loss.

Financial liabilities designated upon initial recognition at fair value through profit or loss are designated at the initial date of recognition, only if the criteria in Ind-AS 109 are satisfied. For liabilities designated as FVTPL, fair value gains/ losses attributable to changes in own credit risk are recognised in OCI. These gains/losses are not subsequently transferred to statement of profit or loss. However, the Company may transfer the cumulative gain or loss within equity. All other changes in fair value of such liability are recognised in the statement of profit or loss.

Loans and borrowings

Borrowings are initially recognised at fair value, net of transaction costs incurred. Any difference between the proceeds (net of transaction costs) and the redemption amount is recognised in profit or loss over the period of borrowings using the effective interest method. Processing/Upfront fee are treated as prepaid asset netted of from borrowings. The same is amortised over the period of the facility to which it relates.

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the statement of profit and loss.

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ANNEXURE "A" TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to in Paragraph 1 under "Report on Other Legal and Regulatory Requirements" section of our Report of even date on the Standalone Financial Statements of BKM INDUSTRIES LIMITED for the year ended 31st March, 2024)

In terms of the information and explanations sought by us and given by the Company and the books of account and records examined by us in the normal course of audit and to the best of our knowledge and belief, we state that:

(i) Property, Plant and Equipment and Intangible Assets

(a) The Company has maintained proper records showing full particulars, including quantitative details and situation, of Property, Plant and Equipment. (B) The Company has maintained proper records showing full particulars of intangible assets.

(b) The Company has a regular programme of physical verification of its Property, Plant and Equipment, by which all property, plant and equipment are verified in a phased manner over a period of time. In accordance with this programme, certain Property, Plant and Equipment were verified during the year and no material discrepancies were noticed on such verification. In our opinion, the periodicity of physical verification is reasonable having regard to the size of the Company and the nature of its assets.

(c) Based on our audit procedures and the information and explanations given to us, the title deeds of all the immovable properties (other than properties where the Company is the lessee and the lease agreements are duly executed in favour of the Company) disclosed in the Standalone Financial Statements are held in the name of the Company.

(d) The Company in accordance with the Indian Accounting Standard (Ind AS -36) on "Impairment of Assets" carried out an exercise of identifying the assets that may have been impaired in accordance with the said Ind AS. Details have been enclosed in Note 3 of the balance sheet.

(e) There are no proceedings which have been initiated or are pending against the Company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and rules made thereunder.

(ii) Inventories and Working Capital Limits

(a) The Management has conducted physical verification of inventory at reasonable intervals during the year. According to the information and explanations given to us and based on the audit procedures performed by us, we are of the opinion that the coverage and procedure of such verification by the Management is appropriate. No discrepancies of 10% or more in the aggregate for each class of inventory between physical inventory and book records were noticed on physical verification.

(b) According to the information and explanations given to us, the Company has not been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks or financial institutions on the basis of security of current assets during the year. Accordingly, reporting on the agreement of quarterly returns or statements with the books of account is not applicable.

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This category generally applies to interest-bearing loans and borrowings.

Borrowings are derecognised from the balance sheet when the obligation specified in the contract is discharged, cancelled or expired. The difference between the carrying amount of the financial liability that has been extinguished or transferred to another party and the consideration paid including any non-cash assets transferred or liability assumed, is recognised in Statement of profit or loss as other gains or (losses).

Borrowings are classified as current liabilities unless the Company has an unconditional right to defer the settlement of liabilities for at least twelve months after the reporting year.

Where there is a breach of a material provision of a long term loan arrangement on or before the end of the reporting period with the effect that the liability becomes payable on demand on the reporting date, the same is classified as current unless the lender agreed, after the reporting year and before the approval of financial statements for issue, not to demand payment as a consequence of the breach.

Trade and other payable

These amounts represent liabilities for goods and services provided to the Company prior to the end of financial year which are unpaid at the year end. Trade and other payables are presented as current liabilities unless payment is not due within 12 months after the reporting year. They are recognised initially at their fair value and subsequently measured at amortised cost using the effective interest method.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the statement of profit or loss.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the balance sheet if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously. The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and in the event of default, insolvency or bankruptcy of the Company or the counterparty.

Derivative financial instruments

The Company uses derivative financial instruments, such as forward currency contracts, interest rate swaps and forward commodity contracts to hedge its foreign currency risks, interest rate risks and commodity price risks respectively. Such derivative financial instruments are initially recognised at fair value on the date on which a derivative contract is entered into and are subsequently re-measured at fair value. Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative.

(iii) Investments, Loans, Guarantees and Securities

(a) According to the information and explanations given to us, the Company has not granted any fresh loans, secured or unsecured, or provided any guarantee or security to companies, firms, Limited Liability Partnerships or any other parties during the year. The inter-corporate loans and deposits outstanding at the beginning of the year stand settled/written down pursuant to the Resolution Plan.

(b) In our opinion, the investments made are not, prima facie, prejudicial to the Company's interest.

(c) Since no fresh loans were granted during the year, reporting on the regularity of repayment of principal and payment of interest under clause 3(iii)(c) is not applicable.

(d) There is no overdue amount in respect of loans granted by the Company remaining outstanding as at the balance sheet date.

(e) No loan granted by the Company which has fallen due during the year has been renewed or extended or fresh loans granted to settle the over dues of existing loans given to the same parties.

(f) The Company has not granted any loans either repayable on demand or without specifying any terms or period of repayment during the year.

(iv) Compliance with Sections 185 and 186

In our opinion and according to the information and explanations given to us, the Company has complied with the provisions of Sections 185 and 186 of the Companies Act, 2013 in respect of loans granted, investments made and guarantees and securities provided, as applicable.

(v) Deposits

The Company has not accepted any deposit or amounts which are deemed to be deposits within the meaning of Sections 73 to 76 of the Act and the Rules framed thereunder. Hence, reporting under clause 3(v) of the Order is not applicable.

(vi) Maintenance of Cost Records

We have broadly reviewed the books of account maintained by the Company pursuant to the Rules made by the Central Government for the maintenance of cost records under sub-section (1) of Section 148 of the Act and are of the opinion that, prima facie, the prescribed cost accounts and records have been made and maintained. We have, however, not made a detailed examination of the cost records with a view to determine whether they are accurate or complete.

(vii) Statutory Dues

(a) According to the information and explanations given to us and on the basis of our examination of the records of the Company, amounts deducted/accrued in the books of account in respect of undisputed statutory dues including Goods and Services Tax, Provident Fund, Employees' State Insurance, Income-tax, Sales Tax, Service Tax, duty of Customs, duty of Excise, Value Added Tax, Cess and other material statutory dues have generally been regularly deposited during the year by the Company with the appropriate authorities, though there have been delays in a few cases. According to the information and explanations given to us, no undisputed amounts payable in

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Financial guarantee contracts

Financial guarantee contracts issued by the Company are those contracts that require a payment to be made to reimburse the holder for a loss it incurs because the specified debtor fails to make a payment when due in accordance with the terms of a debt instrument. Financial guarantee contracts are recognised initially as a liability at fair value, adjusted for transaction costs that are directly attributable to the issuance of the guarantee. Subsequently, the liability is measured at the higher of the amount of loss allowance determined and the amount recognised less cumulative amortisation.

e. Inventories

Inventories are measured at the lower of cost and net realisable value after providing for obsolence, if any, except for Stock-in-Trade [which are measured at Fair value] and Realisable by-products [which are measured at net realisable value]. The cost of inventories is determined using the weighted average method and includes expenditure incurred in acquiring inventories, production or conversion and other costs incurred in bringing them to their respective present location and condition. In the case of manufactured inventories and work in progress, cost includes an appropriate share of production overheads based on normal operating capacity. The comparison of cost and Net Realisable value is made on an item by item basis.

Net realisable value is estimated selling price in the ordinary course of business, less estimated cost of completion and the estimated costs necessary to make the sale. The net realisable value of work in progress is determined with reference to selling prices of finished products.

f. Cash And Cash Equivalent

For the purpose of presentation in the statement of the cash flows, cash and cash equivalent includes the cash on hand, deposits held at call with financial institutions other short term, highly liquid investments with original maturity of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

Cash flows are reported using the indirect method, whereby profit before tax is adjusted for the effects of transactions of non-cash nature and any deferrals or accruals of past or future cash receipts or payments. The cash flows from operating, investing and financing activities of the Company are segregated based on the available information.

g. Contributed Equity

Equity shares are classified as equity. Incidental costs directly attributable to the issue of new shares or options are shown in equity as a deduction, net of tax, from the proceeds.

h. Dividends

Annual dividend distribution to the shareholders is recognised as a liability in the period in which the dividends are approved by the shareholders. Any interim dividend paid is recognised on approval by Board of Directors. Dividend payable and corresponding tax on dividend distribution is recognised directly in other equity.

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respect of the aforesaid statutory dues were in arrears as at 31st March, 2024 for a period of more than six months from the date they became payable.

(b) According to the information and explanations given to us, there are no dues of Goods and Services Tax, Income-tax, Sales Tax, Service Tax, duty of Customs, duty of Excise, Value Added Tax, or Cess which have not been deposited with the appropriate authorities on account of any dispute.

(viii) Unrecorded Income

There were no transactions relating to previously unrecorded income that have been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (43 of 1961). Accordingly, the provisions of clause 3(viii) of the Order are not applicable.

(ix) Borrowings

(a) In our opinion and according to the information and explanations given to us, the borrowings of the Company have been restructured and are being serviced in accordance with the terms of the Resolution Plan approved by the Hon'ble NCLT vide order dated 19th September, 2023. As stated in the Notes, the liability of term loan of ₹ 700 Lakhs pertaining to Financial Year 2023–24 has been paid and the liabilities of ₹ 2,500 Lakhs pertaining to Financial Year 2024–25 remains due as at the reporting date, the repayment obligations being serviced in accordance with the approved Resolution Plan.

(b) According to the information and explanations given to us and on the basis of our audit procedures, the Company has not been declared a willful defaulter by any bank or financial institution or government or any government authority.

(c) In our opinion and according to the information and explanations given to us, the term loans were applied for the purposes for which the loans were obtained.

(d) According to the information and explanations given to us, and the procedures performed by us, and on an overall examination of the Standalone Financial Statements of the Company, we report that no funds raised on short-term basis have been used for long-term purposes by the Company.

(e) According to the information and explanations given to us and on an overall examination of the Standalone Financial Statements of the Company, we report that the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries, associates or joint ventures.

(f) According to the information and explanations given to us and procedures performed by us, we report that the Company has not raised loans during the year on the pledge of securities held in its subsidiaries, joint ventures or associate companies.

(x) Initial Public Offer, Further Public Offer and Preferential Allotment

(a) The Company has not raised any moneys by way of initial public offer or further public offer (including debt instruments) during the year. Accordingly, reporting under clause 3(x)(a) of the Order is not applicable.

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i. **Earnings per share**

i. **Basic earnings per share**

Basic earnings per shares is calculated by dividing Profit/(Loss) attributable to equity holders (adjusted for amounts directly charged to Reserves) before/ after Exceptional Items (net of tax) by Weighted average number of Equity shares, (excluding treasury shares).

ii. **Diluted earnings per share**

Diluted earnings per shares is calculated by dividing Profit/(Loss) attributable to equity holders (adjusted for amounts directly charged to Reserves) before/ after Exceptional Items (net of tax) by Weighted average number of Equity shares (excluding treasury shares) considered for basic earning per shares including dilutive potential Equity shares.

j. **Foreign Currency**

i. **Foreign currency transactions**

Transactions in foreign currencies are translated into the functional currencies of the Company at the exchange rate prevailing at the date of the transactions. Monetary assets (other then investments in companies registered outside India) and liabilities denominated in foreign currencies are translated into the functional currency at the exchange rate at the reporting date.

Investments in companies registered outside India are converted at rate prevailing at the date of acquisition. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured based on historical cost in a foreign currency are not translated.

Difference on account of changes in foreign currency are generally charged to the statement of profit & loss except the following:

The Company has availed the exemption available under Para D13AA of Ind AS - 101 of "First time adoption of Indian Accounting Standards". Accordingly, exchange gains and losses on foreign currency borrowings taken prior to April 1, 2016 which are related to the acquisition or construction of qualifying assets are adjusted in the carrying cost of such asset.

k. **Revenue recognition**

The Company derives revenues primarily from sale of manufactured goods, traded goods and related services.

In Compliance with Ind AS 20 on Government Grants and consequent to issuance of Education Material by The Institute of Chartered Accounts of India on Ind AS 115, the amount of export incentives have been reclassified from "Other Operating Revenue" to "Other Income".



(b) During the year, the reduction and consolidation of the Company's equity share capital was effected pursuant to the Resolution Plan approved by the Hon'ble NCLT, and not by way of a preferential allotment or private placement of shares or convertible debentures. Accordingly, reporting under clause 3(x)(b) of the Order is not applicable.

(xi) Fraud and Whistle-Blower Complaints

(a) Based on our examination of the books and records of the Company and according to the information and explanations given to us, considering the principles of materiality outlined in the Standards on Auditing, no fraud by the Company or on the Company has been noticed or reported during the course of our audit.

(b) During the year, no report under sub-section (12) of Section 143 of the Companies Act, 2013 has been filed in Form ADT-4 as prescribed under Rule 13 of the Companies (Audit and Auditors) Rules, 2014, with the Central Government by the auditors.

(c) As represented to us by the Management, no whistle-blower complaints have been received by the Company during the year.ga

(xii) Nidhi Company

In our opinion and according to the information and explanations given to us, the Company is not a Nidhi Company. Accordingly, the provisions of clause 3(xii) of the Order are not applicable to the Company.

(xiii) Related Party Transactions

According to the information and explanations given to us and based on our examination of the records of the Company, transactions with the related parties are in compliance with Sections 177 and 188 of the Act, where applicable, and the details of such transactions have been disclosed in the Standalone Financial Statements as required by the applicable Indian Accounting Standards.

(xiv) Internal Audit System

(a) In our opinion and based on our examination, the Company has an internal audit system commensurate with the size and nature of its business.

(b) We have considered the internal audit reports of the Company issued till date for the period under audit.

(xv) Non-cash Transactions with Directors

According to the information and explanations given to us, in our opinion, during the year the Company has not entered into any non-cash transactions with its directors or persons connected with its directors and hence the provisions of Section 192 of the Companies Act, 2013 are not applicable to the Company.

(xvi) Registration under the Reserve Bank of India Act, 1934

(a) In our opinion, the Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Hence, reporting under clause 3(xvi)(a) and (b) of the Order is not applicable.

(b) The Company is not a Core Investment Company ("CIC") as defined in the regulations made by the Reserve Bank of India. Accordingly, the provisions of clause 3(xvi)(c) of the Order are not applicable.

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i. Sale of Goods/ Services

Revenue from contracts with customers is recognised when control of the goods or services are transferred to the customer at an amount that reflects the consideration entitled in exchange for those goods or services. Generally, control is transfer upon shipment of goods to the customer or when the goods is made available to the customer, provided transfer of title to the customer occurs and the Company has not retained any significant risks of ownership or future obligations with respect to the goods shipped.

Revenue from rendering of services is recognised over the time by measuring the progress towards complete satisfaction of performance obligations at the reporting period.

Revenue is measured at the amount of consideration which the Company expects to be entitled to in exchange for transferring distinct goods or services to a customer as specified in the contract, excluding amounts collected on behalf of third parties (for example taxes and duties collected on behalf of the government). Consideration is generally due upon satisfaction of performance obligations and receivable is recognised when it becomes unconditional.

The Company does not have any contracts where the period between the transfer of the promised goods or services to the customer and payment by the customer exceeds one year. As a consequence, it does not adjust any of the transaction prices for the time value of money.

Revenue is measured based on the transaction price, which is the consideration, adjusted for discounts and claims, if any, as specified in the contract with the customer. Revenue also excludes taxes collected from customers.

Contract balances

Trade receivables

A receivable represents the Company's right to an amount of consideration that is unconditional.

Contract liabilities

A contract liability is the obligation to transfer goods or services to a customer for which the Company has received consideration (or an amount of consideration is due) from the customer. If a customer pays consideration before the Company transfers goods or services to the customer, a contract liability is recognised when the payment is made. Contract liabilities are recognised as revenue when the Company performs under the contract.

ii. Other Income

Other income is comprised primarily of interest income, dividend income, gain/loss on investments and gain/loss on foreign exchange and on translation of other assets and liabilities. Interest income is recognised using the effective interest method. Claims for export incentives/ duty drawbacks, duty refunds and insurance are accounted when the right to receive payment is established.

l. Government Grants

i. Grants from the Government are recognised at their fair value where there is a reasonable assurance that the grant will be received and the Company will comply with all the attached conditions.

Anil Kumar Surana & Company * Chartered Accountants * Kolkata

ii. Government grant relating to purchase of Property, Plant and Equipment are included in "Other current/ non-current liabilities" as Government Grant - Deferred Income and are credited to Profit or loss on a straight line basis over the expected life of the related asset and presented within "Other operating Income".

m. Employee Benefits

i. During Employment benefits

i. Short term employee benefits

Short-term employee benefits are expensed as the related service is provided. A liability is recognised for the amount expected to be paid if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

ii. Post Employment benefits

i. Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which a Company pays fixed contribution into a separate entity and will have no legal or constructive obligation to pay further amounts. The Company makes specified monthly contributions towards government administered Provident Fund scheme.

Obligations for contributions to defined contribution plans are expensed as the related service is provided. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in future payments is available.

ii. Defined benefit plans

The Company pays gratuity to the employees who have has completed five years of service with the company at the time when employee leaves the Company. The gratuity is paid as per the provisions of Payment of Gratuity Act, 1972.

The gratuity liability amount is contributed to the approved gratuity fund formed exclusively for gratuity payment to the employees.

The liability in respect of gratuity and other post-employment benefits is calculated using the Projected Unit Credit Method and spread over the periods during which the benefit is expected to be derived from employees' services.

Re-measurement of defined benefit plans in respect of post employment are charged to Other Comprehensive Income.

iii. Termination benefits

Termination benefits are payable when employment is terminated by the Company before the normal retirement date or when an employee accepts voluntary redundancy in exchange for these benefits. In case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than twelve months after the end of reporting year are discounted to the present value.

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Kolkata
FRN-322194E
Chartered Accountants

n. Income Taxes

Income tax expense comprises current and deferred tax. Tax is recognised in statement of profit and loss, except to the extent that it relates to items recognised in the other comprehensive income or in equity. In which case, the tax is also recognised in the other comprehensive income or in equity.

i. Current tax

Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities, based on tax rates and laws that are enacted or subsequently enacted at the Balance sheet date.

Current tax assets and liabilities are offset only if, the Company:

i. has a legally enforceable right to set off the recognised amounts; and
ii. intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Current tax provision is computed for income calculated after considering allowances and exemptions under the provisions of the applicable Income Tax Laws. Current tax assets and current tax liabilities are off set, and presented as net.

ii. Deferred tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the year in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have enacted or substantively enacted by the end of the reporting year. The carrying amount of Deferred tax liabilities and assets are reviewed at the end of each reporting year. Deferred tax is recognised to the extent that it is probable that future taxable profit will be available against which they can be used.

The measurement of deferred tax reflects the tax consequences that would follow from the manner in which the Company expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax assets and liabilities are offset only if:

i. the Company has a legally enforceable right to set off current tax assets against current tax liabilities; and
ii. the deferred tax assets and the deferred tax liabilities relate to income taxes levied by the same taxation authority on the same taxable Company.

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o. Borrowing Costs

General and specific Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset that necessarily takes a substantial period of time to get ready for its intended use are capitalised as part of the cost of that asset till the date it is ready for its intended use or sale. Other borrowing costs are recognised as an expense in the year in which they are incurred.

Investment income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing cost eligible for capitalisation. All other borrowing costs are charged to the statement of profit and loss for the year for which they are incurred.

p. Leases

The Company, as a lessee, recognises a right-of-use asset and a lease liability for its leasing arrangements, if the contract conveys the right to control the use of an identified asset.

The contract conveys the right to control the use of an identified asset, if it involves the use of an identified asset and the Company has substantially all of the economic benefits from use of the asset and has right to direct the use of the identified asset. The cost of the right-of-use asset shall comprise of the amount of the initial measurement of the lease liability adjusted for any lease payments made at or before the commencement date plus any initial direct costs incurred. The right-of-use assets is subsequently measured at cost less any accumulated depreciation, accumulated impairment losses, if any and adjusted for any remeasurement of the lease liability. The right-of-use assets is depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of right-of-use asset. The Company measures the lease liability at the present value of the lease payments that are not paid at the commencement date of the lease. The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the Company uses incremental borrowing rate. For short-term and low value leases, the Company recognises the lease payments as an operating expense on a straight-line basis over the lease term.

q. Non- Current assets held for sale:

Non-current assets are classified as held for sale if their carrying amount will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when a sale is highly probable from the date of classification, management are committed to the sale and the asset is available for immediate sale in its present condition. Non-current assets are classified as held for sale from the date these conditions are met and are measured at the lower of carrying amount and fair value less cost to sell. Any resulting impairment loss is recognised in the Statements of Profit and Loss as a separate line item. On classification as held for sale, the assets are no longer depreciated. Assets and liabilities classified as held for sale are presented separately as current items in the Balance Sheet.

Amit Kumar Surana & Company
Kolkata
FRN:322194E
Chartered Accountants

r. Provisions and contingent liabilities

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event. It is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are discounted using equivalent period government securities interest rate. Unwinding of the discount is recognised in the statement of profit and loss as a finance cost. Provisions are reviewed at each balance sheet date and are adjusted to reflect the current best estimate.

Contingent liabilities are disclosed when there is a possible obligation arising from past events, the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company or a present obligation that arises from past events where it is either not probable that an outflow of resources will be required to settle or a reliable estimate of the amount cannot be made. Information on contingent liability is disclosed in the Notes to the Financial Statements.

Contingent assets are not recognised. However, when the realisation of income is virtually certain, then the related asset is no longer a contingent asset, but it is recognised as an asset.

s. Segment reporting

An operating segment is a component of the Company that engages in business activities from which it may earn revenues and incur expenses, whose operating results are regularly reviewed by the company's chief operating decision maker to make decisions for which discrete financial information is available. Based on the management approach as defined in Ind AS 108, the chief operating decision maker evaluates the Company's performance and allocates resources based on an analysis of various performance indicators by business segments and geographic segments.

t. Biological Assets

Biological Assets are measured at fair value less costs to sell, with any changes therein recognised in the Statement of Profit & Loss.

u. Fair value measurement:

The Company measures financial instruments at fair value at each balance sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

i. In the principal market for the asset or liability, or
ii. In the absence of a principal market, in the most advantageous market for the asset or liability.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

Amit Kumar Surana & Company * Chartered Accountants * Kolkata FRN-321934E

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy.

Note:-

NOTE 30 :

Pursuant to the Resolution Plan submitted by the Uniglobal Papers Pvt Ltd (Collectively referred to as the "Successful Resolution Applicant") and its approval by the Hon'able National Company Law Tribunal, Kolkata bench, vide their orders dated 19th September, 2023 for the corporate insolvency of the Company, otherwise as stated in below notes, the following consequential impacts have been given in accordance with approved resolution plan / Accounting Standards :-

1. The existing directors of the Company as on the date of order have stand replaced by the new Board of Directors from their office with effect from December 15, 2023. As on date Board consist of Mr. Yasvardhan Mukim (Chairman and Managing Director), Mr. Jitendra Agarwal (Non-Executive Director), Mr. Rahul Tikmani (Non-Executive Director).

2. The erstwhile promoter group has been classified as public shareholders under regulation 31A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

3. With effect from September 19, 2023, the existing issued, subscribed and paid up equity share capital of the Company has been reduced from ` 655.34 Lakh divided into 6,55,34,050 equity shares of Re. 1 each to ` 12.35 Lakh divided into 3,08,81,515 equity share and remaining 3,46,52,535 equity share stand fully cancelled and extinguished. As prescribed in the Resolution Plan, the reduction in the share capital of the Company amounting to 642.99 Lakh is adjusted against the debit balance as appearing in its profit and loss account (i.e. retained earnings).

4. As per the resolution plan approved by Hon'ble National Company Law Tribunal, Kolkata Bench vide its orders dated 19th September, 2023 under section 31 of the Insolvency and Bankruptcy Code, 2016, the paid up equity share capital of the company was reduced and consolidated. Shareholder holding 3,08,81,515 equity shares of ` 1/- each got 12,35,261 equity share of ` 1/-. The fractional shares were allotted in favour of BKM INDUSTRIES SHAREHOLDERS TRUST, acting as Trustee for BKM Industries Limited and the same were held in the name of Mr Jitendra Agrawal, Trustee of Trust at that time. Shares will be shifted in the new demat account of the Trust opened with the PAN of Trust. As per the Scheme of reduction and consolidation, shares will be allotted in favour of Trust. The investment Cost of acquition of these treasury shares have been netted of from the Equity Shares Capital and Securities premium account as per the provisions of Ind AS.

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Kolkata
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5. As per approved resolution plan, the contingent liabilities and commitments, claims and obligations, stand extinguished and accordingly no outflow of economic benefits is expected in respect thereof. The Resolution plan, among other matters provide that upon the approval of this Resolution Plan by the National Company Law Tribunal (NCLT) and settlement and receipt of the payment towards the IRP Costs and by the creditors in terms of this plan, all the liabilities demands, damages, penalties, loss, claims of any nature whatsoever (whether admitted/verified/submitted/rejected or not, due or contingent, asserted or unasserted, crystallised or uncrystallised, known or unknown, disputed or undisputed, present or future) including any liabilities, losses, penalties or damages arising out of non-compliances, to which the Company is or may be subject to and which pertains to the period on or before the Effective Date (i.e. September 19, 2023) and are remaining as on that date shall stand extinguished, abated and settled in perpetuity without any further act or deed. The Resolution plan further provides that implementation of resolution plan will not affect the rights of the Company to recover any amount due to the Company and there shall be no set off of any such amount recoverable by the Company against any liability discharged or extinguished.

6. The Company underwent a Corporate Insolvency Resolution Process ("CIRP") pursuant to the order of the Hon'ble National Company Law Tribunal ("NCLT") dated 30th December 2020 and was successfully resolved upon approval of the Resolution Plan by the Hon'ble NCLT on 19th September 2023. In accordance with Section 14 of the Insolvency and Bankruptcy Code, 2016 ("IBC"), a moratorium was in force from the Insolvency Commencement Date, prohibiting the institution or continuation of suits, proceedings and execution of judgments, decrees or orders against the Company before any court, tribunal, arbitration panel or other authority. Consequent to the implementation of the Approved Resolution Plan, the Company has derecognised, written off or impaired certain assets that are not recoverable or are no longer expected to generate future economic benefits and has also derecognised, adjusted or extinguished liabilities, provisions and reserves to the extent such balances have been settled, waived, discharged or otherwise dealt with under the Approved Resolution Plan. The resulting impact has been recognised in accordance with the applicable Indian Accounting Standards, including Ind AS 109 "Financial Instruments", Ind AS 36 "Impairment of Assets", Ind AS 37 "Provisions, Contingent Liabilities and Contingent Assets" and other applicable Ind AS.



Particulars	Balance Sheet (Pre CIRP)	Adjustment Due to CIRP	Balance Sheet (Post CIRP)	Particulars	Balance Sheet (Pre CIRP)	Adjustment Due to CIRP	Balance Sheet (Post CIRP)
I. ASSETS				**II. EQUITY AND LIABILITIES**			
1. Non-current assets				**1. Equity**			
(a) Property, Plant and Equipment	3,324.01	(313.05)	3,637.06	(a) Equity Share Capital	655.34	642.99	12.35
(b) Capital Work-in-Progress	344.45	344.45	-	(b) Other Equity			-
(c) Intangible assets	-	-	-	(i) Capital Reserve	5.00	5.00	-
(d) Intangible assets under development	-	-	-	(ii) Securities Premium	4,171.20	4,171.20	-
(e) Financial Assets	-	-	-	(iii) General Reserves	6,169.59	6,169.59	-
				• (iv) Revaluation Surplus	1,460.00	1,460.00	-
(i) Investments	4,319.92	4,319.75	0.17				
(ii) Trade receivables	-	-	-	(v) Retained Earnings	-11,312.61	-11,312.61	-
(iii) Loans	439.57	439.57	-	**2. Liabilities**			
(iv) Other financial assets	12.32	12.32	-	(i) Non-current liabilities	-	-	-
(f) Deferred tax assets (net)	-	-	-	(a) Financial Liabilities	-	-	-
(g) Other non-current assets	1,197.22	847.22	350.00	(i) Borrowings	770.55	770.55	-
				(ii) Trade payables	-	-	-
2. Current assets				(A) Total outstanding dues of micro enterprises and small enterprises	-	-	-
				(B) Total outstanding dues of creditors other than micro enterprises and small enterprises	-	-	-
(a) Inventories	2,193.01	2,160.18	32.82	(iii) Other financial liabilities	35.33	35.33	-
(b) Financial Assets	-	-	-	(b) Provisions	291.61	291.61	-
(i) Investments	-	-	-	(c) Deferred tax liabilities (net)	528.00	528.00	-
(ii) Trade receivables	4,955.81	4,955.81	-	(d) Other non-current liabilities	152.87	152.87	-
(iii) Cash & cash equivalents	11.68	3.78	7.90				
(iv) Bank balances other than (iii) above	0.63	0.63	-	**(ii) Current liabilities**	-	-	-
(v) Loans	-	-	-	(a) Financial Liabilities	-	-	-
(vi) Other financial assets	-	-	-	(i) Borrowings	12,411.32	12,411.32	-
(c) Current Tax Assets (net)	24.58	(27.38)	51.96	(ii) Trade payables	-	-	-
				(A) Total outstanding dues of micro enterprises and small enterprises	-	-	-
(d) Other current assets	977.19	977.19	-				
				(B) Total outstanding dues of creditors other than micro enterprises and small enterprises	136.45	136.45	-
	-	-	-				
3. Non-current assets held for disposal	66.98	66.98	-	(iii) Other financial liabilities	996.26	(2,808.43)	3,804.69
				(b) Other current liabilities	1,334.84	1,071.97	262.88
				(c) Provisions	61.61	61.61	
TOTAL ASSETS	**17,867.36**	**13,787.44**	**4,079.91**	**TOTAL EQUITY AND LIABILITIES**	**17,867.36**	**13,787.45**	**4,079.91**



BKM INDUSTRIES LIMITED

2A, Ganesh chandra Avenue, 2nd Floor, Room no - 11, Kolkata, West Bengal, India, 700013

(CIN-L27100WB2011PLC161235)

BALANCE SHEET as on 31.03.2024

(INR' Lakhs)

Particulars	Note No.	As at 31st-Mar-24	As at 31st-Mar-23
I. ASSETS			
1. Non-current assets			
(a) Property, Plant and Equipment	3	746.94	3,324.01
(b) Capital Work-in-Progress	3	-	344.45
(c) Intangible assets under development			
(d) Financial Assets			
(i) Investments	4	0.17	4,319.92
(ii) Loans	6	-	439.57
(iii) Other financial assets	7	-	12.32
(e) Deferred tax assets (net)	8	21.94	-
(f) Other non-current assets	9	-	1,197.22
2. Current assets			
(a) Inventories	10	1.08	2,193.01
(b) Financial Assets			
(i) Trade receivables	5	5.63	4,955.81
(ii) Cash & cash equivalents	11	4.57	17.71
(iii) Bank balances other than (ii) above	11	-	0.63
(c) Current Tax Assets (net)	12	1.28	22.90
(d) Other current assets	9	-	977.19
3. Non-current assets held for Sale	3	2,448.58	66.98
TOTAL ASSETS		**3,230.18**	**17,871.72**
II. EQUITY AND LIABILITIES			
1. Equity			
(a) Equity Share Capital	13	12.35	655.34
(b) Other Equity	14	-149.78	548.17
2. Liabilities			
(i) Non-current liabilities			
(a) Financial Liabilities			
(i) Borrowings	15	-	770.55
(ii) Other financial liabilities	17	-	35.33
(b) Provisions	19	-	291.61
(c) Deferred tax liabilities (net)	8	-	528.00
(d) Other non-current liabilities	18	-	152.87
(ii) Current liabilities			
(a) Financial Liabilities			
(i) Borrowings	15	-	12,411.32
(ii) Trade payables	16		
(A) Total outstanding dues of micro enterprises and small enterprises			
(B) Total outstanding dues of creditors other than micro enterprises and small enterprises		-	136.45
(iii) Other financial liabilities	17	2,932.76	996.26
(b) Other current liabilities	18	434.84	1,284.20
(c) Provisions	19	-	61.61
TOTAL EQUITY AND LIABILITIES		**3,230.18**	**17,871.72**

Notes forming an integral part of financial statements 1 to 30

As per our report of even date attached
For M/s. Amit Kumar Surana & Company
Chartered Accountants
Firm Regn. No. : - 332194E

Amit Kumar Surana

CA. Amit Kumar Surana
(Proprietor)
Membership No: 304957
UDIN: 25304957BMGBSX3574

Date : 30.05.2024
Place: Kolkata

Amit Kumar Surana & Company ★ Kolkata FRN:332194E ★ Chartered Accountants

For and on behalf of the Board

YASHVARDHAN MUKIM
(Chairman cum Managing Director)
DIN:07713187

RAHUL TIKMANI
(Director)
DIN:00702127

ADITYA FOGLA
(Company Secretary)

KISHAN KEJRIWAL
(Chief Financial Officer)

BKM INDUSTRIES LIMITED

2A, Ganesh chandra Avenue, 2nd Floor, Room no - 11, Kolkata, West Bengal, India, 700013

(CIN-L27100WB2011PLC161235)

STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED 2024

(INR' Lakhs)

Particulars	Note No.	For the year ended 31st March,2024	For the year ended 31st March,2023
I.Income			
Revenue from Operations	20	92.53	-
Other Income	21	10.05	5.61
Other Gains/(Losses)	22	3.80	-
Rounding Off		-	-1.00
Total Income		**106.39**	**4.61**
II.Expenses			
Changes in Inventories (increase) /decrease	23	31.74	-
Depreciation and Amortization expenses	3	172.79	128.13
Other Expenses	24	128.56	90.30
Total expenses		**333.09**	**218.43**
III.Profit Before exceptional items and tax		**-226.71**	**-213.82**
Exceptional items		-	-
IV.Profit Before Taxes		**-226.71**	**-213.82**
V.Tax Expenses			
(a)Current Tax		-	-
(b)Deferred Tax Expenses/(Income)		-21.94	1.00
VI.Profit (Loss) from continuing operations		**-204.77**	**-214.82**
Profit (loss) from discontinued operations before tax		-	-
Tax expense of discontinued operations		-	-
VII.Profit (Loss) from discontinued operations (after tax)		**-**	**-**
VIII.Profit (Loss) for the year		**-204.77**	**-214.82**
IX.Other Comprehensive Income			
A (i) Items that will not be reclassified to profit or loss :			
(a) Revaluation Surplus of Property Plant & Equipment		-	-
(b) Re-measurement of defined employee benefit plans			
(ii) Income tax relating to items that will not be reclassified to profit or loss :			
(a) on Revaluation Surplus on Property, Plant & Equipment			
(b) on Re-measurement of defined employee benefit plans			
B (i) Items that will be reclassified to profit or loss :			
(a) Changes in investments other than equity shares carried at Fair Value through OCI (FVOCI)			
(ii) Income tax relating to items that will be reclassified to profit or loss :			
X.Total Other comprehensive Income after tax			
XI.Total comprehensive income for the period		**-204.77**	**-214.82**
XII.Earnings per equity share(for continuing operation):			
(1) Basic		-0.31	-0.33
(2) Diluted		-0.31	-0.33
XIII.Earnings per equity share(for discontinued operation):			
(1) Basic		-0.31	-0.33
(2) Diluted		-0.31	-0.33
XIV.Earnings per equity share(for continuing & discontinued operations):			
(1) Basic		-0.31	-0.33
(2) Diluted		-0.31	-0.33

Notes forming an integral part of financial statements 1 to 30

As per our report of even date attached
For M/s. Amit Kumar Surana & Company
Chartered Accountants
Firm Regn. No. : - 332194E

CA. Amit Kumar Surana
(Proprietor)Membership No: 304957

UDIN: 25304957BMGBSX3574

Date : 30.05.2024
Place: Kolkata

For and on behalf of the Board

YASHVARDHAN MUKIM
(Chairman cum Managing Director)
DIN:07713187

RAHUL TIKMANI
(Director)
DIN:00702127

ADITYA FOGLA
(Company Secretary)

KISHAN KEJRIWAL
(Chief Financial Officer)

BKM INDUSTRIES LIMITED

2A, Ganesh chandra Avenue, 2nd Floor, Room no - 11, Kolkata, West Bengal, India, 700013

(CIN-L27100WB2011PLC161235)

STATEMENT OF CASH FLOWS

(INR' Lakhs)

Particulars	Year Ended 31st March 2024	Year Ended 31st March 2023
A Operating Activities		
Profit before tax from continuing operations	-226.71	-212.82
Profit/(loss) before tax from discontinuing operations		-
Profit before tax	**-226.71**	**-212.82**
Adjustments for:		
Depreciation on Property, Plant and Equipment	172.79	128.13
Amortisation of intangible assets		-
Finance Cost (including fair value changes in financial instruments)		-
Net foreign exchange differences		-
Interest Income (including fair value changes in financial instruments)	-10.05	-5.61
Dividend Income		
Provision for Gratuity		
(Profit)/Loss on sales of Property, Plant and Equipment		-
Net (Gain)/Loss on remeasurement of Financial Assets carried FVTPL	-3.80	-
Changes due to amortisation and interest on lease-hold assets under Ind AS-116		-
Operating profit / (loss) before working capital changes	**-67.77**	**-90.30**
Working capital adjustments:		
Decrease/(Increase) in Trade receivables	-5.63	-
Decrease/(Increase) in Loans		-
Decrease/(Increase) in Inventories	31.74	
Decrease/(Increase) in Other financial assets		
Decrease/(Increase) in Other current assets		-
(Decrease)/Increase in Trade payables		-
(Decrease)/Increase in Other financial liability	18.63	-
(Decrease)/Increase in Other current liability	-4.59	433.09
(Decrease)/Increase in Provisions		-
	-27.62	**342.79**
Income taxes paid		-
NET CASH INFLOW (OUTFLOW) FROM OPERATING ACTIVITIES (A)	**-27.62**	**342.79**
B Investing Activities		
Purchase of Property, Plant and Equipment	3.80	
Purchase of Intangible Assets		
Changes in Capital Work In Progress		
Invested in FD		-350.00
Sale of Property, Plant and Equipment		
(Purchase)/Sale of Investments		
Interest received (finance income)	10.05	5.61
Dividend received		
NET CASH INFLOW (OUTFLOW) FROM INVESTING ACTIVITIES (B)	**13.85**	**-344.39**
C Financing Activities		
Proceeds from issue of equity shares		
Interest paid		
Proceeds/(Repayment) from borrowings		
Dividends paid including Dividend Distribution Tax		
NET CASH INFLOW (OUTFLOW) FROM FINANCING ACTIVITIES (C)	-	-
Net increase (decrease) in cash and cash equivalents (A+B+C)	**-13.77**	**-1.60**
Cash and cash equivalents at the beginning of the year	18.34	19.94
Cash and cash equivalents at year end	**4.57**	**18.34**

This statement of cash flows have been prepared as per indirect method as prescribed under Ind AS 7 "Statement of Cash Flows".

As per our report of even date attached

For M/s. Amit Kumar Surana & Company
Chartered Accountants
Firm Regn. No. : - 332194E

CA. Amit Kumar Surana
(Proprietor)Membership No: 304957

UDIN: 25304957BMGBSX3574

Date : 30.05.2024
Place: Kolkata

Amit Kumar Surana & Company ★ Kolkata FRN-332194E ★ Chartered Accountants

YASHVARDHAN MUKIM
(Chairman cum Managing Director)
DIN:07713187

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BKM INDUSTRIES LIMITED

2A, Ganesh chandra Avenue, 2nd Floor, Room no - 11, Kolkata, West Bengal, India, 700013

(CIN-L27100WB2011PLC161235)

STATEMENT OF CHANGES IN EQUITY

(INR' Lakhs)

A. Equity Share Capital

Particulars	Amount
As at 31 March 2023	**655.34**
Changes in equity share capital	**-642.99**
As at 31 March 2024	**12.35**

B. Other Equity

Particulars	Attributable to owners of BKM Industries Limited					
	Reserves & Surplus				Other Comprehensive Income	Total other equity
	Capital Reserves	General Reserves	Securities Premium	Retained Earnings	Revaluation Reserves	
Balance at 31 March 2023	**5.00**	**6,169.59**	**4,171.20**	**-11,257.62**	**1,460.00**	**548.17**
Profit for the year	-	-	-	-204.77	-	-204.77
Other comprehensive income	-	-	-	-	-	-
Total comprehensive income for the year	**-**	**-**	**-**	**-204.77**	**-**	**-204.77**
Other Adjustments	**-5.00**	-6,169.59	-4,171.20	11,312.61	-1,460.00	-493.17
Issue of equity shares	-	-	-	-	-	-
Dividends paid	-	-	-	-	-	-
Balance at 31 March 2024	**-**	**-**	**-**	**-149.78**	**-**	**-149.78**

As per our report of even date attached
For M/s. Amit Kumar Surana & Company
Chartered Accountants
Firm Regn. No. : - 332194E

CA. Amit Kumar Surana
(Proprietor)Membership No: 304957
UDIN: 25304957BMGBSX3574

Date : 30.05.2024
Place: Kolkata

Amit Kumar Surana & Company ★ Chartered Accountants ★ Kolkata FRN:332194E

For and on behalf of the Board

YASHVARDHAN MUKIM
(Chairman cum Managing Director)
DIN:07713187

RAHUL TIKMANI
(Director)
DIN:00702127

ADITYA FOGLA
(Company Secretary)

KISHAN KEJRIWAL
(Chief Financial Officer)

BKM INDUSTRIES LIMITED
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(CIN-L27100WB2011PLC161235)

Notes to the Standalone Financial Statements

(INR' Lakhs)

Note - 3: PROPERTY, PLANT AND EQUIPMENT

Particulars	Freehold Land	Buildings (Freehold & leasehold)	Furniture, Fittings and Equipment	Plant and Machinery	Office Equipment	Vehicles	TOTAL	Capital Work-in-Progress	Intangible Assets
Gross Carrying Amount									
At 31st March,2022	2,267	1,580	485	6,933	277	162	11,704	344	-
Additions/Adjustments during the year	-	-	-	-	-	-	-	-	-
Disposals/ Adjustments during the year	-	-	-	-	-	-	-	-	-
At 31st March,2023	**2,267**	**1,580**	**485**	**6,933**	**277**	**162**	**11,704**	**344**	**-**
Additions/Adjustments during the year	**254**	**(1,166)**	**(485)**	**(6,232)**	**(277)**	**(162)**	**(8,068)**	**(344)**	**-**
Disposals/ Adjustments during the year	-	-	-	(269)	-	-	(269)	-	-
At 31st March,2024	**2,521.02**	**414.58**	**-**	**432.69**	**-**	**-**	**3,368.30**	**-**	**-**
Accumulated Depreciation and Impairment									
At 31st March,2022	-	1,070	485	6,190	277	162	8,185	-	-
Depreciation charge for the year		43	-	85	-	-	128	-	-
Disposals during the year	-	-	-	-	-	-	-	-	-
At 31st March,2023	**-**	**1,113**	**485**	**6,275**	**277**	**162**	**8,313**	**-**	**-**
Additions/Adjustments during the year		(1,113)	(485)	(6,275)	(277)	(162)	(8,313)		-
Depreciation charge for the year	-	16	-	157	-	-	173		
Disposals during the year	-						-	-	-
At 31st March,2024	**-**	**16**	**-**	**157**	**-**	**-**	**173**	**-**	**-**
Net Book Value At 31st March,2022	2,267	510	-	744	-	-	3,519	344	-
Net Book Value At 31st March,2023	2,267	467	-	659	-	-	3,391	344	-
Net Book Value At 31st March,2024	2,521	398	-	276	-	-	3,196	-	-

Amit Kumar Surana & Company ★ Kolkata FRN-332194E ★ Chartered Accountants

Net Book Value:

Particulars	As at 31st March 2024	As at 31st March 2023	As at 31st March 2022
	INR' Lakhs	INR' Lakhs	INR' Lakhs
Property, Plant and Equipment (PPE)			
(a) PPE other than held for sale	747	3,324	3,452
(b) PPE held for sale	2,449	67	67
Capital Work-in-progress	-	344	344
Intangible Assets	-	-	-
	3,196	3,391	3,519

The details of Assets held for sale as at end of each period is as below :-

Particulars	As at 31st March 2024	As at 31st March 2023	As at 31st March 2022
	INR' Lakhs	INR' Lakhs	INR' Lakhs
(i) Property, Plant and Equipment			
Opening Balance/Deemed Cost	67	67	67
(+) Additions	2,382	-	-
(-) Deletions	-	-	-
Carrying Amount/Deemed Cost	**2,449**	**67**	**67**

Note : The Company in accordance with the Indian Accounting Standard (Ind AS -36) on "Impairment of Assets" carried out an exercise of identifying the assets that may have been impaired in accordance with the said Ind AS. On the basis of review carried out by the management, the management has determined the value of property, plant and equipment and capital work in progress as per Valuation report Issued by the registered Valuer. As a result value of freehold land Increased by 254 Lakhs and Other Assets decreased by 353 lakhs.

The Company has identified certain items of Property, Plant and Equipment that are no longer in use and management has decided to dispose of them. These assets have been classified as Held for Sale in accordance with Ind AS 105.

Accordingly, depreciation on these assets has ceased from the date of such classification. The assets are measured at the lower of their carrying amount and fair value less costs to sell.



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(INR' Lakhs)

Note - 4: INVESTMENTS

Particulars	As at 31st March 2024	As at 31st March 2023
Investment in Equity Instruments:		
Investment in Subsidiary Entities		
(a) Euroasian Ventures FZE 25 Equity shares fully paid of face value AED 1000000 each (on 31st March, 2020: 25 Equity shares fully paid of face value AED 1000000 each)	0.17	3,239.27
(b) Glitter Agencies Private Limited 4990000 Equity shares fully paid of face value of 10 each (on 31st March, 2020: 4990000 Equity shares fully paid of face value of 10 each)	-	499.00
(c) Jiwanjyoti Vanijya Private Limited 4990000 Equity shares fully paid of face value of 10 each (on 31st March, 2020: 4990000 Equity shares fully paid of face value of 10 each)	-	499.00
(d) BK Manaksia Nigeria Limited 39990000 Equity shares fully paid of face value of each (on 31st March, 2020: 39990000 Equity shares fully paid of face value of each)	-	81.65
(e) BKM Agrotech Private Limited 10000 Equity shares fully paid of face value of 10 each (on 31st March, 2020: 10000 Equity shares fully paid of face value of 10 each)	-	1.00
Total	**0.17**	**4,319.92**
(i) Non-current	0.17	4,319.92
(ii) Current	-	-
	0.17	**4,319.92**
Investments measured:		
(a) At Amortized Cost	0.17	4,319.92
(b) At Fair Value through Profit & Loss (FVPL)	-	-
(c) At Fair Value through Other Comprehensive Income (FVOCI)	-	-
	0.17	**4,319.92**

Note: During the year, the management carried out an assessment of the recoverability and realizable value of investments made in other entities. Based on the evaluation performed, including the financial position and future business prospects of the investee entities, the management is of the opinion that no realizable value is expected from such investments.

Accordingly, the carrying value of these investments has been fully impaired / considered non-recoverable in the financial statements, in accordance with the applicable provisions of Ind AS 36 – Impairment of Assets and other relevant accounting standards, wherever applicable.

Amit Kumar Surana & Company Kolkata FRN-332194E Chartered Accountants

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Notes to the Standalone Financial Statements

(INR' Lakhs)

Note - 5: TRADE RECEIVABLES

Particulars	As at 31st March 2024	As at 31st March 2023
Secured, considered good		
(i) Non-Current	-	-
Sub-Total	-	-
(ii) Current		
Gross Trade Receivables	5.63	4,955.81
Less: Trade Receivable Written off	-	-
Less: Impairment loss/(gain) on financial assets	-	-
Sub-Total	**5.63**	**4,955.81**
Total	**5.63**	**4,955.81**

Trade receivables are non-interest bearing and are generally on terms of 90 to 180 days.

Note - 6: LOANS

Particulars	As at 31st March 2024	As at 31st March 2023
Secured, considered good		
(i) Non Current		
Security Deposits	-	8.78
Inter-corporate Loans & Deposits	-	430.78
Deposits with Government Authorities		
Sub-Total	-	**439.57**
(ii) Current		
Security Deposit	-	-
Inter-corporate Loans & Deposits	-	-
Sub-Total	-	-
Total	-	**439.57**



Note - 7: OTHER FINANCIAL ASSETS

Particulars	As at 31st March 2024	As at 31st March 2023
(i) Non-Current		
Other bank balances	-	-
Sub-Total	**-**	**-**
Other financial assets		
(a) Application money paid towards subscription of se	-	12.32
(b) Others		
Sub-Total	**-**	**12.32**
Total	**-**	**12.32**
(ii) Current		
Other bank balances	-	0.63
Sub-Total	**-**	**0.63**
Other financial assets		
(a) Derivative Financial Asset	-	-
(b) Others	-	-
Sub-Total	**-**	**-**
Total	**-**	**0.63**

***Details of other balances with banks.**

Particulars	As at 31st March 2024	As at 31st March 2023
Earmarked Balances with Banks	-	0.63
Term Deposits with Bank	-	-
Margin money, guarantee and security with banks		
Total	**-**	**0.63**

Note - 8: DEFERRED TAX ASSETS/ (LIABILITIES) (NET)

Particulars	As at 31st March 2024	As at 31st March 2023
Property, Plant and Equipment	21.94	-699.00
Intangible Assets	-	-
Employee Benefit Obligation	-	99.00
MAT Credit Entitlement	-	72.00
Impairment loss/(gain) on financial assets	-	-
Total	**21.94**	**-528.00**

Note - 9: OTHER NON-CURRENT ASSETS

Particulars	As at 31st March 2024	As at 31st March 2023
(i) Non-Current		
Capital Advance		
Fixed Deposit	-	350.00
Balances with Government Authorities	-	6.51
Prepaid Lease Rentals	-	840.72
Other Loans & Advances		
Sub-Total	**-**	**1,197.22**
(ii) Current		
Capital Advance		
Security Deposit		
Balances with Government Authorities	-	417.68
Other Loans & Advances	-	559.50
Sub-Total	**-**	**977.19**
Total	**-**	**2,174.41**

Note - 10: INVENTORIES

Particulars	As at 31st March 2024	As at 31st March 2023
(a) Raw Materials	-	1,174.50
(b) Work-in-Process	1.08	331.44
(c) Finished Goods		327.28
(d) Stores & Spares		204.07
(e) Stock in Transit		
(f) Scraps		156.72
Total	**1.08**	**2,193.01**

Note - 11: CASH AND CASH EQUIVALENTS

Particulars	As at 31st March 2024	As at 31st March 2023
Balances with banks		
(i) Cash at bank	-	0.00
(ii) Cash at PNB	4.57	13.94
(iii) Cash on hand	-	4.40
(iv) Cheques on hand		
Sub Total	**4.57**	**18.34**
Less : Amount grouped under other bank balances	-	0.63
Total	**4.57**	**17.71**

Note - 12: CURRENT TAX ASSETS/ (LIABILITIES) (NET)

Particulars	As at 31st March 2024	As at 31st March 2023
Interest Receivable	0.48	
TDS	0.79	22.90
Total	**1.28**	**22.90**

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Kolkata
FRN-332194E
Chartered Accountants

BKM INDUSTRIES LIMITED

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Notes to the Standalone Financial Statements

(INR' Lakhs)

Note - 13: SHARE CAPITAL

Particulars	As at 31st March 2024	As at 31st March 2023
Equity Share Capital		
a) Authorised		
75000000 (on 31st March, 2023: 75000000) Equity Shares of Rs.1/- each	750.00	750.00
	750.00	**750.00**
b) Issued, Subscribed and Paid Up		
Equity Shares:		
30881515 (on 31st March, 2023: 65534050) Equity Shares of Rs. 0.04 /- each	12.35	655.34
Total	**12.35**	**655.34**

Above figures in bracket pertains to immediately preceding previous period figures.

c) Reconciliation of number of equity shares are set out below:

Particulars	As at 31st March 2024	As at 31st March 2023
i) Shares outstanding at the beginning of the financial year	65,534,050	65,534,050
ii) Issued during the year		
iii) Shares forfeited/brought back/cancelled during the year	(34,652,535)	
iv) Shares outstanding at the end of the financial year	**30,881,515**	**65,534,050**

d) Details of shareholders holding more than 5% of shares

Name of the Shareholders	As at 31st March 2024		As at 31st March 2023	
	% held	No.of Shares	% held	No.of Shares
Basant Kumar Agrawal	0%	0	22%	14455940
Navneet Manaksia	0%	0	14%	9500000
Aditya B Manaksia	0%	0	14%	9500000
ICICI Bank Limited	0%	0	10%	6553405

(a)For reconciliation of number of shares outstanding at the beginning and at the end of the year - [Refer SOCE.]

(b) Pursuant to the Scheme of Reduction and Consolidation, the existing 6,55,34,050 equity shares of ₹1/- each of the Company comprising 3,46,52,535 equity shares held by the Promoters and 3,08,81,515 equity shares held by the public shareholders. The 3,46,52,535 equity shares held by the Promoters shall stand cancelled pursuant to the Scheme, and the balance 3,08,81,515 equity shares held by the public shareholders shall continue. Thereafter, every 25 equity shares of ₹0.04 each held by the public shareholders shall be consolidated into 1 equity share of ₹1/- each. Accordingly, the public shareholders holding an aggregate of 3,08,81,515 equity shares became entitled to 12,35,261 equity shares of ₹1/- each. Fractional entitlements arising out of such consolidation shall be transferred and allotted to the BKM Industries Shareholders Trust ("Trust"). The Trust shall aggregate and dispose of such fractional shares in the market, and the net sale proceeds attributable to the respective fractional entitlements shall be distributed to the concerned shareholders in accordance with the Scheme

(c) The company has changed its name from Manaksia Industries Limited to BKM Industries Limited with effect from 16th of October, 2017.

(d) No Shares has been reserved for issue under options and contracts/commitments for the sale of shares/disinvestment.

Amit Kumar Surana & Company ★ Kolkata FRN-332194E ★ Chartered Accountants

Note - 14: OTHER EQUITY

Particulars	As at 31st March 2024	As at 31st March 2023
a. Capital Reserve		
Opening Balance	5.00	5.00
Less: Transferred to Retained Earnings		
Less: Pursuant to CIRP Adjustment (refer Note 30(6))	-5.00	
Sub Total	-	**5.00**
b. Securities Premium		
Opening Balance	4,171.20	4,171.20
Add: Additions during the year	-	
Less: Pursuant to CIRP Adjustment (refer Note 30(6))	-4,171.20	
Sub Total	-	**4,171.20**
c. General Reserves		
Opening Balance	6,169.59	6,169.59
Add: Addition during the year	-	-
Less: Pursuant to CIRP Adjustment (refer Note 30(6))	-6,169.59	-
Sub Total	-	**6,169.59**
d. Revaluation Surplus		
Opening Balance	1,460.00	1,460.00
Add: Net fair value gain/(loss) on revaluation of Property, Plant and Equipment during the period	-	-
Less: Pursuant to CIRP Adjustment (refer Note 30(6))	-1,460.00	-
Sub Total	-	**1,460.00**
e. Retained Earnings		
Opening Balance	-11,257.62	-11,042.79
Add: Profit/(Loss) during the year	-204.77	-214.82
Add: Re-measurement of defined employee benefit plans through OCI Net of Tax	-	-
Add: Net fair value gain/(loss) on investments during the period	-	-
Less: Impairment loss on financial assets	-	-
Add: Restatement of Property, Plant & Equipment Depreciation on Capital Stores	-	-
Add: Grant on Re-measurement of interest Free Loan	-	-
Less: Unrecognized Interest on Interest Free Loan	-	-
Less: Pursuant to CIRP Adjustment (refer Note 30(6))	11,312.61	-
Sub Total	**-149.78**	**-11,257.62**
Total	**-149.78**	**548.17**

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Notes to the Standalone Financial Statements

(INR' Lakhs)

Note - 15: BORROWINGS

Particulars	As at 31st Mar 2024	As at 31st Mar 2023
(i) Non-Current Borrowings		
Secured Loan		
(a) Term Loan From Banks & Financial Institutions	-	-
(b) Term Loan From others	-	-
Unsecured Loan		
(a) Loans from Bank	-	-
(b) Loans from Others	-	-
(c) Deferred Sales Tax Liability	-	770.55
Total non-current borrowings	**-**	**770.55**
(ii) Current Borrowings		
Secured Loan		
From Banks		
(a) Term Loan From Banks & Financial Institutions		3,187.17
(b) Buyers Credit	-	7,460.86
Unsecured Loan		
From Others	-	1,763.29
Total current borrowings	**-**	**12,411.32**

Note - 16: TRADE PAYABLES

Particulars	As at 31st Mar 2024	As at 31st Mar 2023
i. Non-Current		
(A) Total outstanding dues of micro enterprises and small enterprises#	-	-
(B) Total outstanding dues of creditors other than micro enterprises and small	-	-
Sub-Total	**-**	**-**
ii. Current		
(A) Total outstanding dues of micro enterprises and small enterprises#		
(B) Total outstanding dues of creditors other than micro enterprises and small	-	136.45
Sub-Total	**-**	**136.45**
Grand Total	**-**	**136.45**

Amit Kumar Surana & Company * Chartered Accountants * Kolkata FRN-332194E

Note - 17: OTHER FINANCIAL LIABILITIES

Particulars	As at 31st Mar 2024	As at 31st Mar 2023
i. Non-Current		
Security Deposits From Consignment Ager	-	35.33
Sub-Total	**-**	**35.33**
ii. Current		
Current Maturity of Long term debt	2,550.14	-
Interest Accrued but not Due	-	424.56
EMD money received from RA	364.00	-
Others	18.63	571.70
	2,932.76	**996.26**
Total	**2,932.76**	**1,031.59**

Note:- a) Pursuant to the continuing defaults of the Company in repayment of borrowings in previous years, a corporate insolvency resolution process("CIRP") under the solvency and Bankruptcy Code, 2016 was initiated against the Company vide an order of the Kolkata Bench of the National Company Law Tribunal ("NCLT") . On September 19, 2023, the NCLT approved the terms of the Resolution Plan submitted by Uniglobal Papers Pvt Ltd. The accounting for the borrowings was carried out considering the terms of such Resolution Plan.

b) Pursuant to the Resolution Plan approved by the National Company Law Tribunal ("NCLT") vide order dated 19 September 2023, the maturity profile of term loans from banks comprises ₹700 Lakhs pertaining to Financial Year 2023–24, which has been paid, and ₹2,500 Lakhs pertaining to Financial Year 2024–25, which remains due as at the reporting date. The repayment obligations are being serviced in accordance with the terms and conditions stipulated under the approved Resolution Plan.

Note - 18: OTHER CURRENT LIABILITIES

Particulars	As at 31st Mar 2024	As at 31st Mar 2023
i. Non-current		
(i) Leasehold building liability	-	152.87
Total	**-**	**152.87**
ii. Current		
(i) Statutory Dues Payable	7.35	704.08
(ii) Workmen Employee	176.49	-
(iii) Unpaid Dividend Account	-	0.63
(iv) COC	-	225.49
(v) EMD money received from RA	-	354.00
(Vii) Advance Received against sale of PPE	251.00	-
Total	**434.84**	**1,284.20**

Note - 19: PROVISIONS

Particulars	As at 31st Mar 2024	As at 31st Mar 2023
(i) Provision for Employee Benefits	-	-
(ii) Provision for Gratuity	-	354.21
Total	**-**	**354.21**
(i) Non Current	-	291.61
(ii) Current	-	61.61
Total	**-**	**354.21**



BKM INDUSTRIES LIMITED

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(CIN-L27100WB2011PLC161235)

Notes to the Standalone Financial Statements

(INR' Lakhs)

Note - 20: REVENUE FROM OPERATIONS

Particulars	31st March 2024	31st March 2023
Sale of Products	92.53	-
Sale of Services	-	-
Other Operating Revenue	-	-
Total	**92.53**	**-**
Sale of Products :		
Gross Sale of Products	92.53	-
Less: Discounts	-	-
Less : Goods & Services Tax	-	-
Net Sale of Products	**92.53**	**-**

***During the financial year ended 31.03.2024, the manufacturing activities of the Company remained non-operational. Accordingly, no production activities were carried out during the year.**

The revenue recognized during the year represents proceeds from the sale of existing inventories available with the Company. No revenue was generated from fresh manufacturing activities during the year under review.

The Company continues to operate under the framework of the Corporate Insolvency Resolution Process ("CIRP") pursuant to the provisions of the Insolvency and Bankruptcy Code, 2016, and the affairs of the Company are being managed in accordance with the approved resolution process/applicable regulatory directions.

Note - 21: OTHER INCOME

Particulars	31st March 2024	31st March 2023
Interest Income :		
Interest on Income Tax Refund	3.25	-
Interest Received on FD	6.80	5.61
Total	**10.05**	**5.61**

Note - 22: OTHER GAINS/ (LOSSES)

Particulars	31st March 2024	31st March 2023
Net gain/(losses) on disposal of Property, Plant & Equipment	3.80	-
Other Items		
Total	**3.80**	**-**

Amit Kumar Surana & Company ★ Chartered Accountants ★ Kolkata FRN-332194E

BKM INDUSTRIES LIMITED

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Notes to the Standalone Financial Statements

(INR' Lakhs)

Note - 23: CHANGES IN INVENTORIES

Particulars	31st March 2024	31st March 2023
Opening Stock		
Finished Goods	6.55	327.28
Semi-Finished Goods	10.48	331.44
Scrap Material	15.80	156.72
Sub-Total	**32.82**	**815.44**
Less:- Closing Stock		
Finished Goods	-	327.28
Semi-Finished Goods	1.08	331.44
Scrap Material	-	156.72
Sub-Total	**1.08**	**815.44**
INCREASE(-)/DECREASE(+)	**31.74**	**-**

Note -24: OTHER EXPENSES

Particulars	31st March 2024	31st March 2023
Repairs & Renewals:		
Plant & Machinery	-	-
Building	-	-
Others	-	-
Lease Rent	4.35	-
Rental Charges other than lease	-	-
Auditors Remuneration (**Note 25**)	0.80	-
Insurance	-	-
Rates and related Taxes	-	-
Bank Commission and Banking Administration Charges	0.10	-
Packing Expenses	-	-
Freight Forwarding & Handling Expenses	-	-
Communication Expenses	-	-
Impairment (loss)/gain on financial assets	-	-
Travelling Conveyance	-	-
Miscellaneous Expenses	4.73	-
Prior period Errors	-	-
Donation	-	-
Corporate Social Responsibility Expenses	-	-
CIRP cost	61.37	90.30
Security Services Charges	27.87	-
Professional & Legal Fee	29.35	-
	128.56	**90.30**

Note - 25 DETAILS OF PAYMENT TO AUDITORS

Particulars	31st March 2024	31st March 2023
As Auditors		
Audit Fees	0.80	-
Tax Audit Fee	-	-
	0.80	**-**

Amit Kumar Surana & Company ★ Chartered Accountants ★ Kolkata FRN-332194E

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(CIN-L27100WB2011PLC161235)

Notes to the Standalone Financial Statements

(INR' Lakhs)

Note - 26: CONTINGENT LIABILITY

Particulars	31st March 2024	31st March 2023
i) Guarantees given by Company's Bankers on behalf of the Company:	-	-
a) Guarantees issued in favour of electricity department and other agencies.		
ii) Claims against the Company not acknowledged as debts:		
a) Service Tax	-	34.39
b) Excise Duty demand under appeal	-	869.82
c) Entry Tax	-	70.66
d) Others	0.40	2.13
iii) Corporate Guarantees given by Company.		
Total	**0.40**	**977.00**

*** Pursuant to the approval of the Resolution Plan by the Hon'ble NCLT on 19 September 2023 under the Insolvency and Bankruptcy Code, 2016, all claims, liabilities and statutory dues not included in the Approved Resolution Plan stand extinguished. No proceedings in respect of such claims or dues, including those owed to the Central or State Governments or local authorities, may be initiated or continued, in line with the judgment of the Hon'ble Supreme Court in Ghanashyam Mishra & Sons Pvt. Ltd. vs Edelweiss Asset Reconstruction Co. Ltd.**

Note - 27: RELATED PARTY DISCLOSURE AS PER IND AS 24

(I) List of Related parties:

(a) Associates and Joint Arrangements:

The company do not have any associates and joint arrangements.

(b) Subsidiaries:

Name	Country	Acquired in Financial Year	% of Holding
(i) Euroasian Ventures FZE	UAE	2011-12	100%

(c) Key Managerial Personnel:

Name	Designation
Mr. Yashvardhan Mukim	Chairman Cum Managing Director
Mr. Rahul Tikmani	Director
Mr. Jitendra Agarwal	Director
Mr. Kishan Kejriwal	Chief Financial Officer (CFO)
Mr. Aditya Fogla	Company Secretary (CS)

(d) Close Family members of Key Managerial Personnel:

Name	Relationships
NIL	

(e) Entities where Key Managerial Personnel has significant influence:

Name	Relationships
Uniglobal Papers Private Limited	Entity where KMP has significant influence

(II) Balances and Transactions with Related Parties:

Name of the Parties	Nature of Transactions	Net Transaction During the Period	
		31st March 2024	31st March 2023
Uniglobal Papers Private Limited	Sale of Goods or Services	6.95	-
Uniglobal Papers Private Limited	Loan Liability	49.00	-

Name	Nature of Balance	Balances outstanding as on	
		31st March 2024	31st March 2023
(a) Investments in Equity Shares:			
(i) Euroasian Ventures FZE	Investments in Subsidiary	0.17	3,239.27
(ii) Glitter Agencies Private Limited	Investments in Subsidiary	-	499.00
(iii) Jiwanjyoti Vanijya Private Limited	Investments in Subsidiary	-	499.00
(iv) BK Manaksia Nigeria Limited	Investments in Subsidiary	-	81.65
(v) BKM Agrotech Private Limited	Investments in Subsidiary	-	1.00
(b) Inter-corporate Loans and Deposits:			
(i) Uniglobal papers Private Limited	Loan Liability	49.00	-
(c) Trade Receivables:			
(i) Uniglobal papers Private Limited	Advance Received Against sale of Goods	4.07	-

a. Transactions have taken place on arm's length basis.

b. No amount in respect of debts pertaining to the related parties have been written off or written back during the year.

c. No provision for doubtful debts is required to be made for the year in respect of debt due from related parties.

Amil Kumar Surana & Company ★ Chartered Accountants ★ Kolkata FRN-332194E

Note - 28: RECOGNITION OF CORPORATE GUARANTEE AS FINANCIAL LIABILITY

Financial guarantee are contractual right of the lender to receive cash from the guarantor, and a corresponding contractual obligation of the guarantor to pay the lender, if the borrower defaults. The contractual right and obligation exist because of a past transaction or event (assumption of the guarantee), even though the lender's ability to exercise its right and the requirement for the guarantor to perform under its obligation are both contingent on a future act of default by the borrower. A contingent right and obligation meet the definition of a financial asset and a financial liability, even though such assets and liabilities are not always recognised in the financial statements. Based on the measurement principles laid down under Ind AS 109 "Financial Instrument: Recognition and Measurement", the fair value of all those financial guarantee contracts reasonable below to the materiality threshold limit set by the company. Accordingly the entity has made appropriate disclosure in Note 26 without additionally recognising any financial assets or liability.

Note - 29: MICRO, SMALL AND MEDIUM (MSME) DUES DISCLOSURE

Disclosure of payables to MSME vendors as defined under the "Micro, Small and Medium Enterprise Development Act, 2006" is based on the information available with the company regarding the status of registration of such vendors under the said Act, as per the information received from them on requests made by the company.

There are no Micro, Small and Medium Enterprises (MSME) to whom the Company owes dues which are outstanding for a period of more than 45 days as at the balance sheet date. The above information and that given under current liabilities regarding Micro, Small and Medium Enterprises has been determined to the extent such parties have been identified on the basis of information available with the Company.

Amit Kumar Surana & Company ★ Kolkata FRN-332194E ★ Chartered Accountants

BKM Industries Limited

Deferred Tax Impact as on 31st March, 2024

(INR' Lakhs)

Particulars	Rate (%)	Accounting Base as on 31.03.2024	Tax Base as on 31.03.2024	Closing Deferred Tax (Liability)/Asset as on31.03.2023
Property, Plant and Equipment	25.168%	3,195.51	3,282.67	21.94
Deferred Tax Liability as on 31.03.2024		**3,195.51**	**3,282.67**	**21.94**
Deferred Tax Liability as on 31.03.2023				**-**
Deferred Tax (Income)/ Expense to be booked during the period ended 31st March 2024				**-21.94**

Amit Kumar Surana & Company
Kolkata
FRN-322194E
Chartered Accountants